

UGANDA ELECTRICITY TRANSMISSION COMPANY LIMITED

REMUNERATION AND TECHNICAL COMMITTEE PAPER NO 35.../FY 2021-2022

DISCLOSURE OF INTEREST OF UGANDA ELECTRICITY TRANSMISSION COMPANY LIMITED IN KAFUE GORGE REGIONAL TRAINING CENTRE (KGRTC) -ZAMBIA

1.0 BACKGROUND

The Board of Directors at its sitting on 29th August, 2021 noted that the former Manager, Human Resource and Administration; Mr. Frederick Charles Zesooli travelled to Zambia for purposes of attending Board meetings of Kafue Gorge Regional Training Centre (KGRTC) as a representative of Uganda Electricity Transmission Company Limited; and that he was fully facilitated to attend the Board meetings at the Centre.

The Remuneration and Technical Committee noted that little was known on what kind of interests UETCL holds in Kafue Gorge of Zambia that necessitated representation of UETCL at Kafue Gorge Board and subsequently facilitating the former Manager Human Resource and Administration to a tune of about Uganda Shillings, Seven Hundred Million only (GX. 700 million) to attend the said Board meetings.

Basing on the above observations, management was asked to disclose the interest of UETCL at Kafue Gorge training Centre to facilitate:

- a) The Board to note and appreciate the interest of UETCL in Kafue Gorge of Zambia
- b) The responsible Party to nominate a representative to replace the previous Manager Human resource and Administration on the Kafue Gorge Board
- c) The Board to Consider allocation of funds for this activity
- d) The Board to disclose interest of UETCL in Kafue Gorge in UETCL reports; and
- e) The Board to disclose interest of UETCL in Kafue Gorge to shareholders if at all UETCL holds shares in the company

2.0. ESTABLISHMENT OF KGRTC

The KGRTC came into existence by way a Memorandum of Understanding (MoU) between Zambia Electricity Supply Corporation and Limited (ZESCO) and Kafue Gorge Regional Training Centre, registered Trustee, a body corporate registered in Zambia. The MoU was signed on the 19th of September 1997. Details as per **annex-1**

The existing Trust Deed (see attachment B) has the Governance guidelines of KGRTC and MoU (see attachment A) signed between KGRTC Trust and the Zambian Electricity Supply Corporation (ZESCO) Limited in terms of ceding its assets to KGRTC and the Support Committed to help with the operations of KGRTC. ZESCO also pays for personnel

emoluments of KGRTC employees. KGRTC Finances all its Capital Expenditure and operations.

The Centre was established in 1989 and is a registered Trust under Section 7 (2) of the societies Act CAP 119 of the Laws of Zambia. The training center is also registered and recognized by the Technical Education Vocational & Entrepreneurship Training Authority (TEVETA). The training center is an ISO 9001 Certified Organization offering international quality services.

The founding trustee members Zambia, Zimbabwe, Uganda and Tanzania. Eventually other members from Malawi, Botswana, Eswatini were brought on board. The trustees must be a head of Human Resources Department in their organizations.

3.0. UGANDA/UETCL MEMBERSHIP ON KGRTC BOARD OF TRUSTEE

According to the information received from Kafue Gorge, the the Uganda Electricity Board (UEB) and one of its successor company (UETCL), represented the non SADC utilities and Agreed to be part of the Governance Board of Trustees on 18th September, 1997 and was represented as follows:

- a) Mr. F X Mubuuke, then Chief Personnel Manager of the Uganda Electricity Board (UEB) was the pioneer representative.
- b) Mr. Mubuuke was replaced by Mrs. Helen Oriokot, the Chief Human Resource Manager.
- c) Mrs. Oriokot was replaced by Mr. F C Zesooli when UEB was unbundled.

Hence Mr. F.C Zesooli continued serving on the Board of trustees of Kafue Gorge as the Head of Human Resource and Administration of Uganda Electricity Transmission Company Limited.

The Trust was created with the support from Member States Utilities in terms of Corporate Governance and as such no membership fee is charged to member utilities of the KGRTC. Travel to and from meetings, accommodation and other facilitation cost (Out of Pocket and Subsistence Allowances, Transit Visas, Medical Travel Insurance etc.) is considered as the contribution of the member utilities to KGRTC. KGRTC recognizes this in its books as the contribution to the Governance of KGRTC.

4.0. GOVERNANCE STRUCTURE OF KGRTC

KGRTC is governed by a regional board of Trustees (BOT) with members drawn from Malawi, Eswatini, Tanzania, Uganda, Zambia and Zimbabwe. (See governance structure in attachment C). The BOT provides policy guidelines on the effective and efficient managing of KGRTC for the satisfaction of all key stakeholders. The BOT meets quarterly in Zambia and once in a quarter in the host country of the non-Zambian trustees. The BOT functions with four main committees which report to the full BOT. The committees are

chaired by trustees who are all non-Zambian. UETCL is a member on the Board of Trustees of KGRTC.

5.0 KGRTC AND ITS PRINCIPAL ACTIVITIES

Kafue Gorge Regional Training Centre (KGRTC) is a regional Training Centre for employees of electricity generation, transmission and distribution utilities in the southern African development community (SADC). Apart from funding from ZESCO Limited, it derives its core income from tuition, consultancy, letting of accommodation, catering and hire of conference facilities.

The training center whose vision is to create Enhanced capacity for stakeholders in Energy Technologies by Training at least 2,500 course participants in Africa by 2022.” and whose mission is to provide a Learner-Centered Environment for the Acquisition of skills and Competencies in Energy Technologies”.

6.0 COMPOSITION OF KGRTC BOARD OF TRUSTEES

The BOT by **December 2020** was composed of the following members:

- Mubiana (Director Generation, ZESCO, Zambia) *Chairperson.*
- Mrs. Florence Chibasa (Acting Head Corporate Services, ZESA, Zimbabwe) *Trustee.*
- Mrs. R.K Mwale (Director, Human Resource and Administration, ZESCO, Zambia) *Trustee*
- Eng Dr.Micheal N. Mulenga (Dean School of Engineering, UNZA, Zambia) *Trustee*
- Eng. Charles F. Kagona (Director, Planning and Development, ESCOM, Malawi) *Trustee*
- Mr. Muzano Simumba (Director, Department of Vocational Education and Training, MoHE, Zambia) *Trustee*
- Eng. A. Simwaba (Director Energy, Corporate Services, Eswatini Electricity Company, Eswatini) *Trustee*
- Mr. F. Zesooli (Manager Human Resources and Administration, UETCL, Uganda) *Trustee*
- Mr. F.Sangunaa (Senior Manager Human Resources, TANESCO, Tanzania) *Trustee*
- Eng. Kaela Kennedy Siame (Director, KGRTC, Zambia) *Trustee*
- Eng. Wilson Banda (Power Station Manager, Kafue Gorge Power Station, ZESCO, Zambia) *Observer.*
- Mrs. Maureen Mwanza Salimu (Head of Human Resource and Administration, KGRTC, Zambia) *Secretary.*

6.1. TRUSTEES' INTERESTS

Upon appointment, every Director of the Trust is required to disclose their business interest to the Board and thereafter update the Board as changes occur. Trustees are also required to disclose interest in any contracts with the center or any affiliates, which give rise to a conflict of interest.

6.2 ROLES OF KGRTC BOARD OF TRUSTEE

The Trustees are responsible for:

- a) Preparation and fair presentation of the financial statements of Kafue Gorge Regional Training Centre.
- b) Designing, implementing and monitoring internal controls relevant to the preparation and fair presentation of financial statements that are free from material misstatement, whether due to fraud or error, selecting and applying appropriate accounting policies; and making accounting estimates that are reasonable in the circumstances.
- c) Maintaining adequate accounting records and an effective system of risk management.

7.0. FACILITATION TO NOMINATED REPRESENTATIVES ON THE BOARD OF TRUSTEES

The Trust was created with the support from Member Utilities in terms of Corporate Governance and as such no Membership fee is charged to member utilities of the KGRTC.

KGRTC does not meet the Trustees major costs to travel to Zambia or to other Countries when one of the utilities hosts one quarterly meeting. UETCL has hosted more than one such meeting in Uganda. The other utilities also have done the same Travel to and from meetings, accommodation and other facilitation cost (Out of Pocket and Subsistence Allowances, Transit Visas, Medical Travel Insurance etc.) is the contribution of the member utilities to KGRTC. KGRTC recognizes this in its books as the contribution to the Governance of KGRTC.

8.0 MANAGEMENT'S IMPLEMENTATION OF THE BOARD OBSERVATIONS

In view of the Board directive to Management to disclose interests of UETCL at Kafue Gorge, Management proceeded to implement the decision by consulting with the KGRTC and the former Manager, Human Resource and Administration Mr. Fredericki Charles Zesooli and obtained information to facilitate the Board as follows:

- a) The Board to note and appreciate the interest of UETCL in Kafue Gorge of Zambia

UETCL is a member of the Board of trustees of KGRC and its membership has led to many staff being trained at Kafue Gorge in various engineering and non-engineering courses at fair rates than non-members. A total of 148 Staff members have been trained since 2001 to date in such courses as Power Systems, protection, Maintenance, system control, CADD and Mapping survey/GIS and non-engineering courses such as; environmental compliance in renewable energy, Safety Health and Environment, Customer care, revenue protection management and Vandalism.

Being a regional center of excellence in training, UETCL through its representation on the KGRTC BOT, participates in the institute curriculum development and review. This ensures that the trainings provided meet the needs of UETCL with the ever changing technology.

- b) The responsible Party to nominate a representative to replace the previous Manager Human resource and Administration on the Kafue Gorge Board

As per the trust deed, membership to the Board of Trustees is only limited to head of Human Resources. Therefore, representation is thus duly pre-determined

It's in good interest of UETCL that representation of the company as a BOT member is beneficial to the energy sector as whole and UETCL in particular.

- c) The Board to Consider allocation of funds for this activity

Every Financial year, the cost of travel for the representation on the BOT at KGRC was budgeted for under duty travel and was duly approved by Management and the Board.

- d) The Board to disclose interest of UETCL in Kafue Gorge in UETCL reports; and

The representative of UETCL on the BOT should give regular reports on the activities of the KGRTC and how UETCL benefits from such representation to Management and the Board on a regular basis (quarterly). In the Financial Statements, this can also be disclosed accordingly and the accruing benefits.

- e) The Board to disclose interest of UETCL in Kafue Gorge to shareholders if at all UETCL holds shares in the company

UETCL does not hold any shares in the KGRTC and disclosure in the Financial Statements is fair enough.

9.0. NEED FOR UETCL PARTICIPATION/MEMBERSHIP ON KGRTC BOT

There is need for continuity of representation/membership UETCL on the KGRTC Board of Trustees for the benefits to UETCL and the energy sector as a whole in enhancing the curriculum and training of our technicians and engineers in modern skills of grid operations and maintenance, Acquisition of skills and Competencies in Energy Technologies and enjoyment of fair rate for training of technical staff.

10.0 RECOMMENDATIONS

Management hereby requests the Remuneration and Technical Committee to:

- a) Take note of the interest of UETCL at KAFUE GORGE Training institute.
- b) Take note of the benefits to the UETCL and the energy sector as a whole in enhancing the curriculum and training of our technicians and engineers in modern skills of grid operations and maintenance.
- c) Take note that Travel to and from meetings, accommodation and other facilitation cost (Out of Pocket and Subsistence Allowances, Transit Visas, Medical Travel Insurance etc.) that UETCL provides to its representative is recognized by KGRTC in its books as the contribution to the Governance of the institute by the member states utility.
- d) To approve nomination Ms. Jacqueline Akello as new representative of UETCL to replace the former Manager Human Resource and Administration on the Kafue Gorge Board of trustees
- e) Consider allocation of funds for this activity under duty travel out of the country.
- f) That the relationship with KGRTC be disclosed in UETCL financial statements
- g) That UETCL member on the KGRTC BOT, on a quarterly basis provides reports of the activities at the centre and how the energy sector will be benefiting



**GEORGE RWABAJUNGU
MANAGING DIRECTOR/CEO**



**AKELLO JACQUIULINE
MANAGER, HUMAN RESOURCE
AND ADMINISTRATION**

LIST OF ATTACHMENTS

- a) Memorandum of Understanding between ZESCO and KGRTC
- b) KGRTC Trust deed
- c) Governance structure of KGRTC

ZAMBIA ELECTRICITY SUPPLY CORPORATION LIMITED

AND

KAFUE GORGE REGIONAL TRAINING CENTRE

SADC ENERGY SECTOR

MEMORANDUM OF UNDERSTANDING

Legal Department
ZESCO Limited
Stand No. 6949
P O Box 33304
LUSAKA

THIS MEMORANDUM is made the 12th day of SEPTEMBER One Thousand Nine Hundred and Ninety SEVEN BETWEEN the ZAMBIA ELECTRICITY SUPPLY CORPORATION LIMITED a company incorporated in Zambia having its registered office at Lusaka Zambia (hereinafter called "ZESCO") of the one part AND the KAFUE GORGE REGIONAL TRAINING CENTRE REGISTERED TRUSTEES a body Corporate registered in Zambia (hereinafter called the "TRUSTEES").

WHEREAS ZESCO is the host organisation with regard to the administration management and control of the KAFUE GORGE REGIONAL TRAINING CENTRE.

WHEREAS it is desirable that the Kafue Gorge Regional Training Centre should have a flexible organisation and status which gives the Centre a less closer connection with the ZESCO whilst ensuring that the Centre operates with a continuous support from ZESCO in the future.

WHEREAS for that purpose a Corporate body has been created to assume the Management of the Centre through a Board of Trustees.

NOW THEREFORE IT IS HEREBY AGREED as follows:-

1. MANAGEMENT OF CENTRE

- a) That the Kafue Gorge Regional Training Centre be de-linked from ZESCO and be handed over to the Board of Trustees.
- b) That the Management of the Centre be vested in the Board of Trustees of the Kafue Gorge Regional Training Centre Registered Trustees.
- c) That the Training Centre Manager shall from now on be accountable to the Board of Trustees and not to ZESCO.
- d) That the person for time being the Director of Human Resources of ZESCO shall be the Chairman of the Board of Trustees.
- e) Income generated by the Centre shall remain with the Centre and be controlled by the Centre Management in co-operation with the Board of Trustees.
- f) The Centre may establish its own terms and conditions of service in order to attract high calibre personnel to the Centre thereby maintaining a high international standard as a Regional Training Institution.
- g) The Centre may supply and discharge such staff as it shall deem fit.

2. ZESCO'S SUPPORT

ZESCO as a host utility shall continue to support the Centre in the same functions and operations as before. This shall include but not limited to:-

- a) Secondment of staff from ZESCO.
- b) Free use of the Campus area.
- c) Free use of Power House for practical training.
- d) Provision of Staff Accommodation.
- e) Provision of Transport and Fuels.
- f) Free electricity and water.

3. DURATION

This memorandum shall continue in force until terminated by either party in terms of Clause 4.

4. TERMINATION

This Memorandum may be terminated by either party giving to the other twelve months' notice in writing.

5. REVIEW

This Memorandum may be reviewed, modified or amended from time to time by agreement between the parties.

IN WITNESS whereof the parties hereto have caused their respective hands and common seals to be hereunto affixed the day and year first before written

The Common Seal of ZESCO
was hereunto affixed

in the presence of:

Director:-

Secretary

SIGNED for the Trustees

by

in the presence of:

DIRECTOR
KERTC

REPUBLIC OF ZAMBIA

CHAPTER 288 OF THE LAWS OF ZAMBIA

KAFUE GORGE REGIONAL TRAINING

CENTRE TRUST

TRUST DEED

Legal Department
ZESCO Limited
Stand No. 6949
Great East road
P.O. Box 33304
LUSAKA.

THIS TRUST DEED is made the day of **One Thousand**
Nine Hundred and Ninety between **ZESCO LIMITED** a
Company Incorporated in Zambia and having its registered office at
Lusaka (hereinafter called "**ZESCO**") of the one part and

1. **J.D. SAKALA**
 DIRECTOR OF HUMAN RESOURCES
 ZESCO LIMITED
 LUSAKA.
2. **Z.J. NKOMO**
 ZESA CORPORATE SERVICES DIRECTOR
 HARARE.
3. **M.C. MAGEGE**
 DIRECTOR OF HUMAN RESOURCES
 TANESCO
 DAR ES SALAAM.
4. **S.A. MUPANGA**
 DIRECTOR
 MINISTRY OF SCIENCE, TECHNOLOGY AND VOCATIONAL
 TRAINING
 LUSAKA.
5. **F.X. MUBUKE**
 CHIEF PERSONNEL MANAGER
 UGANDA ELECTRICITY BOARD
 KAMPALA.
6. **J.M. MWENECHANYA**
 DEPUTY VICE -CHANCELLOR
 UNIVERSITY OF ZAMBIA
 LUSAKA.
7. **W. SERENJE**
 DIRECTOR
 MINISTRY OF ENERGY AND WATER DEVELOPMENT
 LUSAKA.

All in their respective official capacities (hereinafter collectively called "the TRUSTEES" which expression shall where the context so admits include the trustees for the time being of this Deed either original additional or substituted) of the other part.

WHEREAS the parties hereto are desirous of forming a trust to be known as the KAFUE GORGE REGIONAL TRAINING CENTRE TRUST to hold and administer the Centre of that name upon the trusts powers and provisions hereinafter appearing.

NOW THIS DEED WITNESSETH and it is hereby agreed and declared as follows:-

Definitions: In this Deed unless the context otherwise requires the masculine shall include the feminine, the singular shall include the plural and vice versa and the following expressions shall have the meanings hereinafter assigned to them respectively:-

- (a) "The Trust" means the Trust hereby created.
- (b) "The Act" means the Land (Perpetual Succession) Act (Chapter 288 of the Laws of Zambia).
- (c) "The Board" means the Board of Trustees of the Kafue Gorge Regional Training Centre Trust.
- (d) "These Presents" means these provisions of the Trust Deed as from time to time altered by Resolution of the board of Trustees.
- (e) "The Fund" means all land building monies funds investments contributions securities and other property (real or personal) from time to time received or held by or on account of the Trustees upon thereof.
- (f) "The common Seal" means the Common Seal of the Trust.
- (g) "The Month" means calendar month.
- (h) "The Year" means calendar year.

- (i) **"The Writing"** shall include: Printing, Typewriting, Lithography, photography and other modes of representing or reproducing words in visible form.
- (j) **"Financial Year"** means the period in respect of any income and expenditure account of the Trust as laid before meetings of the board of Trustees whether that period is a year or not.
- (k) **"The Auditor"** means the Board of Trustees of the Kafue gorge Regional Training Centre Trust.
- (m) **"Trustee"** means a person appointed to the board of Trustees under these presents.
- (n) **"Chairman"** means a person appointed chairman of the Board of Trustees under these presents
- (o) **"Employees"** means employees of the Trust.
- (p) **"Secretary"** means the Secretary of the Trust for the time being and shall include any person appointed by the Trustees from among the employees of the Trust.
- (q) The term 'person' includes a corporation where appropriate
- (r) **"Centre"** means the Kafue Gorge Regional Training Centre
- (s) The expression "debenture" shall include debenture stock bonds and any other securities whether consisting a charge on the assets of the Trust or not.
- (t) Save as aforesaid any words or expression defined in the statutes shall (if not inconsistent with the subject or context) bear the same meaning in these presents.

Name of the

Trust : 2. The trust shall be known as the Kafue Gorge Regional Training Centre (hereinafter referred to as "the Trust").

Mission of the Trust

3. The mission for which the Trust is established is to develop human resources in hydro power station plant operation and control engineering for electricity utilities in the Sub-Sahara Region.

Objects of the Trust

4. Pursuant to clause 3 above the objects of the Trust are as follows:-
- (a) To provide in-service training for selected employees in the power utilities in order to improve performance.
 - (b) To provide professional and vocational training.
 - (c) To develop new courses to better satisfy the need for specialised training for hydro power personnel.
 - (d) To provide in-plant and tailor made training programmes to suit the needs of client utilities.
 - (e) To develop well trained personnel to man hydro power station at all levels of operation and maintenance thereby securing a steady and reliable supply of electricity in the Region.
 - (f) To recruit and employ suitable teaching administrative and other staff to teach instruct and/or work under the Trust.
 - (g) To borrow, raise money or secure obligations (whether of the Trust or any other person) by the issue of debentures, debenture stock (perpetual or terminable) bonds mortgages or any other securities founded or based upon all or any of the property and rights of the Trust and upon such other terms as the Trust shall think fit.
 - (h) To provide for the welfare of employees of the Trust and their families.

- (i) To invest and deal with monies of the Trust immediately required upon such securities or in the purchase of shares in other companies and in such manner as may from time to time be determined by the Trustees.
- (i) To do all such other things as may in the opinion of the Trustees be desirable or necessary for the furtherance and fulfilment of the aforesaid objects and it is hereby declared that the objects specified in each paragraph shall not be limited or restricted by reference to the terms of any other paragraph or the name of the Trust.

Application of funds

- 5. The Trustees shall stand possessed of the capital grants and general fund in trust and to apply the same towards the objects of the Trust referred to in Clause 4 hereto PROVIDED THAT the Trustee may in their absolute discretion give preference to programmes and activities created in accordance with Clause 4 above

Costs of the Trust

- 6. The Trust shall pay out of the Funds all costs charges and expenses of the Trust including (but without prejudice to the generality of the foregoing) all rates and levies payable in connection therewith all costs of insurance repair reconstruction equipment maintenance and the general up keep of all its property the remuneration of employees auditors or other officers advisor or servant of the Trust and the reasonable travelling and out-of pocket expenses of any Trustee or committee Member.

Investment of the Fund

- 7(a) So much of any monies paid or transferred to the Trust or comprised or accumulated in the funds as shall not be required for the purpose of the objects of the trust contained in Clause 4 here of or for any other incidental costs or the Trust shall as soon as practicable be invested in the name or under the legal control of the Trust in its existing state or condition of investment for so long as the Trust in its existing state or condition of investment for so long as the Trustees shall think fit or be sold and converted into money and the proceeds of such sale or

conversion shall be invested as aforesaid and so that the Trustees shall have the power to vary or transpose any investments so made for others hereby authorised.

- (b) Monies requiring investment hereunder may be invested in any investments of whatsoever nature whether or not producing income (including but without prejudice to the generality of is power the purchase of lease of land or any interest in land) whatsoever situate in which the Trustees could have invested the same if they were absolutely and beneficially entitled hereto.
- (c) The Trustees may permit any investment or other property forming part of the fund to be held by any person as nominee for themselves for the time being and may also permit any securities transferred by delivery comprised in the fund to be held for their account for the time being by any bank and the Trustees' directions notices and cheques from or drawn by any two of the Executive Trustees (hereinafter defined) and may authorise the said bank or building society to accept cheques drawn and permit withdrawals made by the Executive Trustees and such other officer or servant of the Trust as they may from time to time nominate.

Acceptance by
Trustees of
Contributions of the
Fund - 8-

The Trustees shall be at liberty to solicit or accept from any source gifts contributions or subscriptions of cash and securities and any other property real or personal which they may consider necessary or desirable for the promotion of the objects of the Trust to be held as part of the fund.

**Acceptance of
Contributions on
Special
Terms**

9. The Trustees may at their discretion accept monies investments securities or other property real or personal to be held as part of the funds subject to the donor's special directions as to particular objects of the Trust to be supported.

- Receipts** 10. The Receipt by the Executive Trustee and any other person appointed by the Trustee shall be sufficient discharge for any contributions to the funds.

**Power to Levy
Fees.**

11. The Trustees shall have power to determine whether or not fees or charges are made or levied as a contribution towards the costs of attendance at or for the benefit of the centre, amenities and facilities and to fix the scales and amounts thereof and to vary enforce or waive the payment thereof.

**Borrowing Powers
of Trustees**

12. The Trustees shall be at liberty to borrow or raise monies in such amount and property of whatsoever description by mortgage charge or other security founded or based upon such terms as to priority and otherwise as the Trustees may deem fit.

**General Powers
of Trustees**

13. (a) The Trustees may from time to time and at any time by power of attorney appoint any company firm or person or body or persons whether nominated directly or indirectly by the trustees to be the attorney or attorneys of the Trust for such purposes and with such powers authority and discretion's (not exceeding those vested in or exercised by the Trustees under these presents) and for such period and subject to such conditions as they may think fit and any such powers of attorney may contain such provisions for the protection and convenience of persons dealing with any such attorney as the trustees may think fit and may also authorise any

such attorney to delegate all or any of the powers
authorities and descriptions.

- (b) A Trustee who is in any way whether directly or indirectly interested in a contract or proposed contract with the Trust shall declare the nature of his interest at a meeting of the Trustees prior to consideration of such contract.
- (c) A Trustee shall not vote in respect of any contract or arrangement in which he is interested and if he shall do so his vote shall not be counted in the quorum present at the meeting but neither of these prohibitions shall apply to:-
 - (i) Any arrangement for the giving by the Trust of any security indemnity in respect of money lent by him to or obligations undertaken by him for the benefit of the Trust.
 - (ii) Any arrangement for the giving by the Trust of any security to a third party in respect of a debt or obligations of the Trust for which the Trustee himself has assumed responsibility in whole or in part under a guarantee or indemnity or by the deposit of a security or
 - (iii) Any contract by a Trustee to subscribe for or to underwrite debentures of the Trust; or
 - (iv) Any contract or arrangement with any other Company in which he is interested only as an officer of the Trust or as holder of shares or others securities and these prohibitions may at any time be suspended or relaxed to any extent and either generally or in respect of any particular contract arrangement or transaction by the Trust.

- (d) A Trustee notwithstanding his interest may be counted in the quorum present at any meeting whereat he or any other Trustee is appointed to hold any such office or place of profit under the Trust or whereat the terms of any such appointment are arranged and he may vote on any such appointment or arrangement other than his own appointment or arrangement of the terms thereon.
- (e) Any Trustee may act by himself or his firm in a professional capacity for the Trust and he or his firm shall be entitled to remuneration for professional services as if he were not a Trustee provided that nothing herein contained shall authorise a Trustee or his firm to act as Auditor to the Trust.
- (f) A general notice given to the Trustees by any Trustee to the effect that he is a member of any specified company or firm and is to be regarded as interested in any contract which may thereafter be made with that company or firm, shall be deemed a sufficient declaration of interest in regard to any contract so made but no such notice shall be of effect unless either it is given at a meeting of the Trustees or the Trustee takes reasonable steps to ensure that it is brought up and read at the next meeting of the Trustees after it is given.
- (g) All cheques promissory notes drafts bills of exchange and other negotiable instruments and all receipts for monies paid to the Trust, shall be signed drawn accepted endorsed or otherwise executed as the case may be in such manner as the Trustees shall from time to time by resolution determine.

- (h) The Trustees may grant retirement pension or annuities or other gratuities or allowances including allowances on death to any person or to the widow or dependants of any person in respect of services rendered by him to the Trust whether as Executive Trustee or in any other office or employment under the Trust notwithstanding that he may be or may have been a Trustee of the Trust and take payments towards insurance of trusts for such purpose in respect of such persons and may include rights in respect of pension annuities and allowance in the terms of engagement.
- (i) The Trustees shall award scholarships and prizes to deserving students as and when they shall deem fit.
- (j) A Trustee who is for any reason unable to be present at a meeting may be represented there at by any person nominated by him in writing and approved by other Trustees and such person shall have and may exercise all the powers rights and duties of the Trustee by whom he is nominated.

Proceedings of Trustees

- 14. The Trustees may act in all matters in relation to the Trusts hereof and exercise any of the powers or discretion hereby conferred upon or reposed in them by the joint concurrence of all or any majority of them and they may make such regulations as they deem fit relating to their meetings and the conduct of their business and otherwise as to the management of the Fund. Unless otherwise determined by a majority of the Trustees the following provisions shall apply to meetings and proceedings of the Trustees.
 - (a) The Trustees will hold meetings at least once every four (4) months and at such other times and in such places as they shall from time to time decide.

(b) The Trustees may meet together for the despatch of business adjourn and otherwise regulate their meetings as they think fit. Questions arising at any meeting shall be decided by majority of votes. In cases of any equality of votes the Chairman shall have a second or casting vote. A Trustee may and the Secretary on the requisition of a Trustee shall at any time summon a meeting of the Trustees. Notice of not less than fourteen days of all meetings of Trustees shall be given to Trustees and their alternates.

(c) The quorum necessary for the transaction of the business of Trustees may be fixed by the Trustees and unless so fixed shall be three.

(d) The Trustees may elect a Chairman and Vice Chairman for their meetings and determine the period for which they are each to hold office but if no such Chairman or Vice Chairman is present within fifteen minutes after the time appointed for holding the same the Trustees present may choose one of their members to be chairman of the meetings.

(e) The Trustees may delegate any of their powers to committees consisting of such member or members of their body as they think fit and any committee so formed shall in the exercise of the powers so delegated conform to any regulations that may be imposed on it by the Trustees.

(f) A Committee may elect a Chairman for its meetings if no such Chairman is present within fifteen minutes after the time appointed for holding the same the members present may choose one of their members to be Chairman of the meeting.

(g) A Committee may meet and adjourn as it thinks proper. Questions arising at any meeting shall be determined by a majority of votes of the members present and in the case of any equality of votes the Chairman shall have a second or casting vote.

- (h) All acts done by any meeting of Trustees or of a Committee of Trustees or by any person acting as a Trustee shall notwithstanding that it be afterwards discovered that there was some defect in the appointment of any such Trustee or persons acting as aforesaid or that they or any of them were disqualified be as if every such person had been duly appointed and was qualified to be a Trustee or committee member
- (i) A resolution in writing signed by the majority of Trustees for the time being entitled to receive notice of a meeting of the Trustee or the majority of a committee similarly entitled shall be as valid and effectual as if it had been passed at a meeting of the Trustees or of the Committee (as the case may be) duly convened and held.
- (j) Any resolution of Trustees may be rescinded or varied from time to time by Trustees as they think fit.
- (k) Within the limits prescribed by this Trust Deed the Trustees shall have full power to make rules for the management of the Trust.

**Appointment of
Director**

15. The Trustees may from time to time appoint one of their body or any other person to the office of the Director of the Centre for such period and on such terms as they think fit and subject to the terms of any agreement entered into in any particular case, may revoke such appointment. The appointment of a Director who is also a Trustee shall be automatically determined if he ceases from any cause to be a trustee.

Provided that Trustees may entrust to and confer upon the Director any of the powers exercisable by them upon such terms and conditions and with such restrictions as they may think fit and either collaterally with or to the exclusion of their own powers, and may from time to time revoke, withdraw, alter or vary all or any of the powers.

Powers of Director

The Director shall:

- (i) Have full powers of managing the fund excepts otherwise stated in this Trust Deed
- (ii) Prepare annual operating and capital budgets for approval by the Trustees.
- (iii) Prepare the Annual Report in accordance with Clause 20 below
- (iv) Carry out all necessary duties in a diligent effective and efficient manner so as to ensure that the objectives of the Trust are executed in accordance with the decisions of the Trustees.

Appointment of Secretary

16. The Trustees shall appoint a Secretary (hereinafter called "The Secretary") who shall be an employee of the Trust and shall perform among other things the following duties:-

- (i) Attend and keep a record of all meetings of the Trustees Management committee and any Committees appointed by the Trustees.
- (ii) Have custody of securities deeds registers seal and other documents pertaining to the Trust.
- (iii) Carry out any other duties as may be determined from time to time by the Trustees.

Appointment of Auditor

17. The Trustees shall appoint an Auditor (hereinafter called "The Auditor") of the Trust.

**Appointment of
other
officers**

18. The Trustees may appoint through the Director such other officers and servants as may be required for the administration and execution of the Trust.

Power to Appoint

Committee 19.(a) The Trustee may appoint Committees and may delegate to them as regards matters connected with the administration of the Trust such powers and duties as the Trustees think fit including powers of superintending and transacting financial and other business and the expenditure of money and may confer on any such committee the right to co-opt persons as members thereof and to indemnify such persons to the extent that the Trustees are entitled to be indemnified hereunder but so that the acts and proceedings of any such committee shall (except as far as the Trustees may have otherwise directed) be subjected to confirmation of any such committee shall be regulated in such a manner as the Trustees may from time to time direct or approve.

(b) Unless the Trustees shall otherwise determine:-

(i) There shall be a Management Committee under the general direction and control of the Trustees (the Committee shall specify its terms of reference) responsible for the general management, and administration of the Trust and the implementation of the decisions of the Trustees.

(ii) The Management Committee shall comprise the Director of the Kafue Gorge Regional Training Centre who shall be the Chairman and the Heads of the Department of the Trust.

(c) The Management Committee and every other Committee shall cause proper accounts to be kept of all monies received by the Trust and of the application thereof and cause such accounts to be made up to Thirty-first day of March in every year and to be transmitted to the Trustees for incorporation into the accounts of the Trust.

- (d) Any member of any committee who is for any reason unable to be present at any committee meeting may be represented thereat by any person nominated by him in writing and approved by the other Committee members and such person shall have and may exercise all the powers right and duties of the member by whom he is nominated including the right to reimbursement of all travelling and out-of-pocket expenses.

Trust

Accounts 20.(a) The Trustees shall cause proper accounts to be kept of the Trust setting forth particulars of the Fund and of sales of any investments or other property forming part thereof and of all monies received into and payments made out of the Funds by the Trustees.

- (b) The accounts of the Trust (which shall include the accounts of any committee) shall be made to the Thirty-first day of March in every year and the Trustees shall within three months after completion of each accounting year prepare a statement in such form as they shall consider to be appropriate showing the true position of the Fund at such date.

Such accounts and statements (which shall include a list of investments and other property of the Fund) shall be audited annually by the Auditor who shall have access to all books papers records and accounts of or connected with the Trust (including deeds and certificates and other evidence of title in the custody of or under the control of the Trustees) and shall report to the Trustees in writing upon the results of his audit.

**Annual
Report**

21. The Trustees shall issue an annual report of the Trust which shall include financial statements prepared in accordance with Clause 20 above and details of the progress made by Trustees in achieving the objects of the Trust.

**Appoint
ment**

22. Unless otherwise determined by the Trustees the first Board of Trustees shall consist of the following members:

J.D. Sakala (Dr.)
Director of Human Resources
ZESCO Limited
LUSAKA.

Z.J. Nkomo
Acting Director of Corporate Services
ZESA
HARARE.

W. Serenje
Director
Department of Energy,
LUSAKA.

J.M. Mwenechanya(Prof.)
Deputy Vice Chancellor
University of Zambia
LUSAKA.

M.C. Magege
Director of Human Resources
TANESCO
DAR - ES SALAAM

F.X. Mubunke
Chief personnel Manager,
UGANDA Electricity Board,
KAMPALA

S.A. Mupanga
Director
Ministry of Science, and Technology and Vocational
Traning
LUSAKA.

Subject as herein provided and until otherwise determined by the Board in Annual General Meeting the number of Trustees shall be not less than 5 (five) and not more than 10 (ten)

- | | |
|---|--|
| Number of Trustee | 23. The number of Trustees may at any time and from time to time be altered by the Board. |
| Power to Remove a Trustee | 24. The Trustees shall by resolution remove any Trustee from office and such removal shall be without prejudice to any claims such Trustee and the Trust may have. |
| Special Notice to Remove a Trustee | 25. To remove a Trustee a special notice of 21 days shall be given. |
| Appointment of Additional Trustees | 26. The Trustees may by resolution appoint another person in place of a Trustee removed from office. In addition the Trustees may similarly appoint a Trustee to fill a casual vacancy or as an additional Trustee. |
| Disqualification of Trustee | 27. The office of Trustee shall be vacated if the Trustee:- <ul style="list-style-type: none">(a) Ceases to be or is prohibited from being a Trustee by virtue of any provision of the statutes; or(b) Becomes bankrupt or makes any arrangement or composition with his creditors generally; or(c) Is found lunatic or becomes of unsound mind; and |

- (d) Resigns his office by notice in writing to the Trust; or
- (e) Is absent without the previous sanction of the Trustees from 3 consecutive meetings of the Trust and the Trustees resolve that his office be vacated according; or x
- (f) Is convicted of any offence and/or is sentenced for at least 6 (six) months imprisonment without the option of paying a fine; or
- (g) Is removed from office by a resolution duly passed as provided by Clause 24; or
- (h) Ceases to be a member of a nominating authority or his mandate has been withdrawn by the same authority.

**Liability
Trustees**

28. A Trustee shall not be responsible;

- (a) For any loss which may result from acting on the advice of any counsel advocate survey or estate agent actuary accountant or other expert;
- (b) For any loss to any property from time to time forming part of the Fund arising by reason of any unauthorised investment made in good faith or from the neglect;
- (c) Fraud of any agent employed by the Trustees although the employment of such agent was not strictly necessary or expedient;
- (d) By reason of any mistake or omission made in good faith by the Trustees;

- (e) By reason of any matter or thing except wilful and individual fraud or wrong doing on the part of any Trustee who is sought to be made liable.

**Indemnification of
Trustees**

29. The Trustees shall be indemnified out of the Fund in respect of all damages costs and expenses which may be incurred by them in the course of administering the Trust unless the same shall be incurred as a result of wilful and individual fraud or wrong doing on the part of any Trustee who is sought to be made liable.

Any Trustee or committee member who is represented at any meeting of Trustee or committee member by a person nominated by him shall not be liable for any loss to any property from time to time forming part of the Fund arising by reason of the person so nominated being present at any meeting in place of the said Trustee or committee member and shall be kept indemnified accordingly out of the Fund.

Common Seal

30. (a) The Trust may exercise the power conferred by the Statute with regard to having an official seal hereinafter called "The Common Seal" and such powers shall be vested in the Trustees.
- (b) The Common Seal of the Trust shall not be affixed to any instrument except by the authority of a resolution of the Board of Trustees or a Committee of the Trustees authorised by the Trustees in that behalf and in the presence of at least two Trustees and the Secretary or such other person as the Trustees may appoint for the purpose.

- (c) The Common Seal of the Trust shall be such device as may be determined by the Trustees and shall be kept by the Secretary.
- (d) The Trust may use a rubber stamp in lieu of the Seal.

Duration of the Trust

- 31. The Trust shall continue in operation sine die unless terminated under due process of the law or until the Board so unanimously resolves upon which the Trustees shall transfer any benefit arising therefrom to ZESCO LIMITED to be used by it for the advancement of education within the said Republic.

Incorporation of the Trust

- 32. The Trustees may apply for incorporation under the Land (Perpetual Succession) Act Cap. 288 of the Laws of the Republic of Zambia and in the event of such application being approved may take steps if any as may be necessary to give effect to the conditions of any Certificate of Incorporation that may be granted.

Variation of the Trust

- 33. The Board may from time to time make such alterations additions amendments modifications or variations to this Deed and the Trust hereof as they may unanimously agree.

modifications or variations to this Deed and the Trust hereof as they may unanimously agree.

Applicable Laws

34. This Deed shall be governed by and read and constructed in all respects in accordance with the Laws of Zambia.

IN WITNESS whereof ZESCO Limited has caused its Common Seal to be hereunto affixed and the TRUSTEES have hereunto set their respective hands and seals the day and year first before written.

THE COMMON SEAL of the said
ZESCO LIMITED was hereunto affixed in the presence of:

DIRECTOR
SECRETARY

)
)



COMPANY SECRETARY

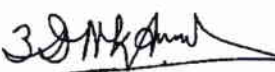
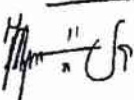
SIGNED SEALED and DELIVERED
by the Said J.D. Sakala
in the presence of: B. Kudu

)
)
)


B. Kudu

SIGNED SEALED and DELIVERED
by the Said Z.J. Nkomo
in the presence of: A. Banda

)
)
)

SIGNED SEALED and DELIVERED
by the said J.M. Mwenepachanya
in the presence of:

BERNARD LUKUTATI

)
) *J.M. Mwenepachanya*
)
) *Bernard Lukutati*

SIGNED SEALED and DELIVERED
by the said W. Serenje
in the presence of:

)
) *W. Serenje*
)
) *Amalala*

SIGNED SEALED and DELIVERED
by the said S. A. Mupanga
in the presence of:

)
) *S. A. Mupanga*
)
) *Amalala*

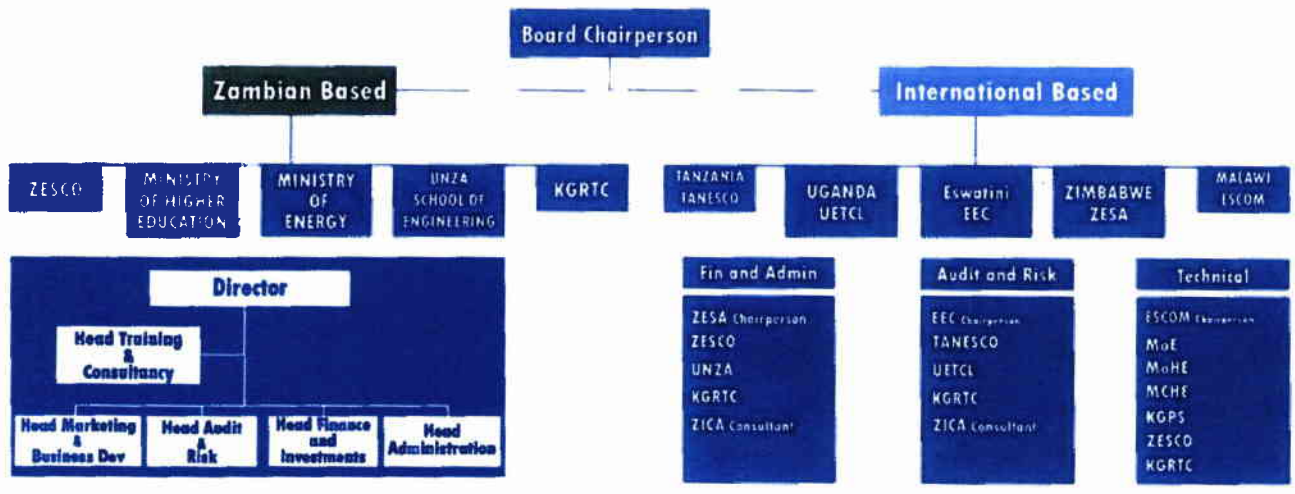
SIGNED SEALED and DELIVERED
by the said F.X. Mubwike
in the presence of:

)
) *F.X. Mubwike*
)
) *Amalala*

SIGNED SEALED and DELIVERED
by the said M.C. Magege
in the presence of:

)
) *M.C. Magege*
)
) *Amalala*

modul 1



<https://www.kgrtc.org.zm>

Corporate Governance

KGRTC is governed by a regional Board of Trustees (BOT) with members drawn from Malawi, Eswatini, Tanzania, Uganda, Zambia and Zimbabwe. The BOT provides policy guidelines on the effective and efficient managing of KGRTC for the satisfaction of all key stakeholders. The BOT meets quarterly in Zambia and once in a quarter in the host country of the non-Zambian Trustees. The BOT functions with four main committees which report to the full BOT. The committees are chaired by Trustees who are all non-Zambian.

The current BOT is composed of:

Board of Trustees

- Eng. Fidelis L. Mubiana (Director Generation, ZESCO, Zambia) *Chairperson*.
- Mrs. Florence Chibasa (Acting Head Corporate Services, ZESA, Zimbabwe) *Trustee*.
- Mrs. R.K. Mwale (Director, Human Resources and Administration, ZESCO, Zambia) *Trustee*.
- Eng. Dr. Michael N. Mulenga (Dean School of Engineering, UNZA, Zambia) *Trustee*.
- Eng. Charles F. Kagona (Director Planning and Development, ESCOM, Malawi) *Trustee*.
- Mr. Muzano Simumba (Director, Department of Vocational Education and Training, MoHE, Zambia) *Trustee*.
- Eng. A. Simwaba (Director Energy, Ministry of Energy, Zambia) *Trustee*.
- Ms. N. Mamba (General Manager, Corporate Services, Eswatini Electricity Company, Eswatini) *Trustee*.
- Mr. F. Zesooli (Manager Human Resources and Administration, UETCL, Uganda) *Trustee*.
- Mr. F. Sangunaa (Senior Manager Human Resources, TANESCO, Tanzania) *Trustee*.
- Eng. Kaela Kennedy Siame (Director, KGRTC, Zambia) *Trustee*.
- Eng. Wilson Banda (Power Station Manager, Kafue Gorge Power Station, ZESCO, Zambia) *Observer*.
- Mrs. Maureen Mwanza Salimu (Head of Human Resource and Administration, KGRTC, Zambia) *Secretary*.

The committees are composed of:

Finance and Administration Committee

- Mrs. Florence Chibasa (Acting Head Corporate Services, ZESA, Zimbabwe) *Chairperson*.
- Mrs. R.K. Mwale (Director Human Resource and Administration, ZESCO, Zambia) *Member*.
- Eng. Dr. Michael N. Mulenga (Dean School of Engineering, UNZA, Zambia) *Member*.
- Mr. J. Malupenga (Consultant, ZAMTEL, Zambia) *Member*.
- Eng. Kaela Kennedy Siame (Director, KGRTC, Zambia) *Member*.
- Mr. Evans Mweemba (Head Finance and Investments, KGRTC, Zambia) *Management*.
- Mrs. Maureen Mwanza Salimu (Head of Human Resource and Administration, KGRTC, Zambia) *Secretary*.

Technical Committee

- Eng. Charles F. Kagona (Director Planning and Development, ESCOM, Malawi) *Chairperson*.
- Eng. Fidelis L. Mubiana (Director Generation, ZESCO, Zambia) *Member*.
- Mr. M.A. Simumba (Director, Department of Vocational Education and Training, Ministry of Higher Education, Zambia) *Member*.
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Audit and Risk Committee

- Ms. N. Mamba (General Manager, Corporate Services, Eswatini Electricity Company, Eswatini, Zambia) *Chairperson*.
- Mr. F. Zesooli (Manager Human Resources and Administration, UETCL, Uganda, Zambia) *Member*.
- Mr. F. Sangunaa (Senior Manager Human Resources, TANESCO, Tanzania) *Member*.
- Dr. E.C. Lengwe (Director, Business Development, ZICAS, Zambia) *Member*.
- Mrs. Linda Mukuwa (Head Audit and Risk, KGRTC, Zambia) *Secretary*.

Organisational Chart

Who We Are

The Kafue Gorge Regional Training Centre (KGRTC), a registered trust in Zambia, is a well established institution controlled by a regional Board of Trustees (BOT) from Malawi, Eswatini, Tanzania, Uganda, Zambia and Zimbabwe. KGRTC operates independently with 63 members of staff on its establishment.

KGRTC was established in 1989, with the support of NORAD and Sida, to provide competitive specialized training solutions in hydropower and related fields to electricity utilities in the Southern African Development Community (SADC) and Sub-Saharan regions. KGRTC is ISO 9001 certified and a Grade One registered institution with the Technical Education, Vocational and Entrepreneurship Training Authority (TEVETA). The Centre has been recognised by the Association of Power Utilities in Africa [APUA] as a Centre of excellence in Africa. KGRTC has also earned an international reputation for quality training and provision of excellent accommodation, catering and conference facilities.

KGRTC is situated in a tranquil environment in Namalundu, about one hundred (100) kilometres south of Lusaka and twenty-eight (28) kilometres off the Chirundu road, in the same vicinity as Zambia's largest hydropower station i.e. Kafue Gorge Power Station. The unique location of the Centre away from the distraction of city life but within easy reach of a wide variety of social and sporting facilities creates a dynamic environment for study. Its location in a serene environment and the proximity of the mountains and gorges offer many opportunities for relaxation and out-door pursuits.

Corporate Governance

KGRTC is governed by a regional Board of Trustees (BOT) with members drawn from Malawi, Eswatini, Tanzania, Uganda, Zambia and Zimbabwe. The BOT provides policy guidelines on the effective and efficient managing of KGRTC for the satisfaction of all key stakeholders. The BOT meets quarterly in Zambia and once in a quarter in the host country of the non-Zambian Trustees. The BOT functions with four main committees which report to the full BOT. The committees are chaired by Trustees who are all non-Zambian.

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- **Mr. F. Zesooli** (Manager Human Resources and Administration, UETCL, Uganda) *Trustee*.
- **Mr. F. Sangunaa** (Senior Manager Human Resources, TANESCO, Tanzania) *Trustee*.
- **Eng. Kaela Kennedy Siame** (Director, KGRTC, Zambia) *Trustee*.
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- **Mrs. Maureen Mwanza Salimu** (Head of Human Resource and Administration, KGRTC, Zambia) *Secretary*.

The committees are composed of.

Finance and Administration Committee

- **Mrs. Florence Chibasa** (Acting Head Corporate Services, ZESA, Zimbabwe) *Chairperson*.
- **Mrs. R.K. Mwale** (Director Human Resource and Administration, ZESCO, Zambia) *Member*.
- **Eng. Dr. Michael N. Mulenga** (Dean School of Engineering, UNZA, Zambia) *Member*.
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- **Eng. Kaela Kennedy Siame** (Director, KGRTC, Zambia) *Member*.
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- **Mrs. Maureen Mwanza Salimu** (Head of Human Resource and Administration, KGRTC, Zambia) *Secretary*.

Technical Committee

- **Eng. Charles F. Kagona** (Director Planning and Development, ESCOM, Malawi) *Chairperson*.
- **Eng. Fidelis L. Mubiana** (Director Generation, ZESCO, Zambia) *Member*.
- **Mr. M.A. Simumba** (Director, Department of Vocational Education and Training, Ministry of Higher Education, Zambia) *Member*.
- **Eng. A. Simwaba** (Director of Energy, Ministry of Energy, Zambia) *Member*.

Please accept our apologies for responding late

Find below our responses for your clarifications sought

A Is Uganda through UETCL still eligible to nominate a successor to Mr. Zesooli on the KGRTC Board of Trustees?

UETCL is still eligible to nominate a representative. The current representation from the utilities has been at Senior Manager level who are in charge of Human Resources and Capacity building for the utility. The focus has been for a representative who shall assist KGRTC in Corporate Governance, and at a leading role training in the utility. KGRTC has been being certified as Southern Africa Development Community (SADC) Centre of Excellence to be confirmed by September 2021 by the SADC Heads of States. We will await the directions of how the Corporate Governance of KGRTC will be, based on SADC Guidelines for Centre's of Excellence.

b) Is there any facilitation by your board to a nominated representative by way of travel, accommodation and or any other facilitation?

The Trust was created with the support from Member States Utilities in terms of Corporate Governance and as such No membership fee is charged to member utilities of the KGRTC. Travel to and from meetings, accommodation and other facilitation cost (Out of Pocket and Subsistence Allowances, Transit Visas, Medical Travel Insurance etc.) is the contribution of the member utilities to KGRTC. KGRTC recognizes this in its books as the contribution to the Governance of KGRTC.

c) Please update us on how Uganda and indeed UETCL came to be a member on the KGRTC Board of Trustee.

UEB, represented the non SADC utilities and agreed to be part of the Governance Board of Trustees as follows:

Mr. F X Mubuuke, then Chief Personnel Manager of the Uganda Electricity Board (UEB) was the pioneer representative.

Mr. Mubuuke was replaced by Mrs. Helen Oriokot, the Chief Human Resource Manager.

Mrs. Oriokot was replaced by Mr. F C Zesooli.

d) Please share any Memorandum of Understanding or any relevant documentation to this effect.

We have attached the existing Trust Deed which has the Governance guidelines of KGRTC.

KGRTC has been developing the Trust Board Charters as formulation of the different Committees are constituted.

We have also attached the MoU signed between KGRTC Trust and the Zambian Utility ZESCO Limited in terms of ceding its assets to KGRTC and the support committed to help with the operations of KGRTC. ZESCO also pays for Courses which ZESCO employees attend at KGRTC. ZESCO still caters for all personnel emoluments of KGRTC employees. KGRTC finances all its Capital expenditure and operations costs

MD, I hope this will be sufficient information to help you make an informed decision going forward. UETCL has contributed immensely to the operations of KGRTC and has had some of its Members of Staff trained at KGRTC. Please do not hesitate to contact me for any further clarifications, even by phone.

Kind regards,

Eng. Kaela Kennedy Siame

Director

siamek@kgrtc.org.zm

www.kgrtc.org.zm

f in t g i



Training | Consultancy | Conference Facilities
Accommodation | Catering

[Find out more](#)

Attachment 1

**KAFUE GORGE REGIONAL TRAINING CENTRE
ANNUAL REPORT AND FINANCIAL STATEMENTS
FOR THE YEAR ENDED 31ST DECEMBER 2020**

**Kafue Gorge Regional Training Centre
Corporate and Administration
for the year ended 31st December 2020**

Trustees:	Eng. F. Mubiana Eng. Dr. M. Mulenga Mr. A. Simwaba Mrs. R. Mwale Mr. F. C. Zesooli Mr. D. Namandwa Mr. R. Pasipanodya (Left) Mrs. Florence Chibasa (Joined) Mr. F. Sangunaa Mr. M. A. Simumba Ms. N. Mamba Eng. K. K. Siame	Chairperson
Administration:	Eng. K. K. Siame Eng. B. H. Makungo Mr. E. Mweemba Mrs. M. M. Salimu Ms. L. Kondowe	Director Head – Training & Consultancy Head – Finance & Investments Head - Administration Head - Audit & Risk
Auditors	Mark Daniels Plot No. 180 P O Box 33919 Luanshya Road Elizabetha Villa Lusaka	
Bankers	Stanbic Bank Zambia Limited Stanbic House P.O Box 31955 Lusaka Barclays Bank Plc Elunda Office Park Private Bag E308 Lusaka	
Trust secretary	Mrs. M. M. Salimu P.O. Box 32774 Lusaka	
Registered Office	Kafue Gorge Regional Training Centre Plot M1234 Namalundu	
Trust Registration No.	ORS/102/35/1699	

**Kafue Gorge Regional Training Centre
Annual Report and Financial Statements
For the year ended 31st December 2020**

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Kafue Gorge Regional Training Centre
Report of the Trustees
For the year ended 31st December 2020

URGENT
for information
discussed with
highlighter
2/1/21

The Board of Trustees has pleasure in presenting their report on the activities of Kafue Gorge Regional Training Centre (KGRTC) together with the audited financial statements for the year ended 31st December 2020.

1. The Organisation and its Principal activities

Kafue Gorge Regional Training Centre (KGRTC) is a regional Training Centre for employees of electricity generation, transmission and distribution utilities in the Southern African Development Community (SADC). Apart from funding from ZESCO Limited, it derives its core income from tuition, consultancy, letting of accommodation, catering and hire of conference facilities.

The Training Centre was established in 1989 and is a registered Trust under Section 7 (2) of the Societies Act CAP 119 of the Laws of Zambia. The Training Centre is also registered and recognized by the Technical Education Vocational & Entrepreneurship Training Authority (TEVETA). The Training Centre is an ISO 9001 certified organisation offering international quality services.

The Training Centre's activities are anchored on the following key themes

Objectives

The Training Centre was established with the following objectives

1. Provide hydropower training to course participants from utilities in the Central and Southern African region;
2. Facilitate conferences and seminars; and
3. Provide accommodation to course participants and conferences and seminar participants.

Vision

The vision of the Training Centre is: "To Create Enhanced Capacity for Stakeholders in Energy Technologies by Training at least 2,500 Course Participants in Africa by 2022."

Mission

The mission of the Training Centre is: "To Provide a Learner-Centred Environment for the Acquisition of Skills and Competencies in Energy Technologies"

Integrated Management System Policy

The Board, and Staff of Kafue Gorge Regional Training Centre (KGRTC), is committed to continually improving the quality, reliability and efficiency of the services it provides; while satisfying the applicable requirements, including statutory and regulatory requirements and mutually agreed customer requirements related to service provisions.

To achieve this end, KGRTC has adopted an Integrated Management System (IMS), which is independently verified as operating in accordance with the requirements of ISO 9001 Quality Management, ISO 22000 Food Safety Management and ISO 50001 Energy Management Systems, to support its strategic direction.

KGRTC shall, in the interest of its business and the services it provides, support the purchase of energy-efficient products and services, support design for energy performance improvement, ensure the availability of information and necessary resources to achieve set objectives and targets, and promote and communicate, throughout the organization, the need for a process approach in setting, reviewing and meeting objectives and targets. It is the objective of KGRTC, as a Centre of Excellence for energy technologies, to be the preferred service provider of training, accommodation, conferencing, catering, information technology and communication services, at sustainable and cost reflective prices aimed at creating wealth for all stakeholders."

Core values

The shared values of the Training Centre are many, but the core values are:

1. Quality;
2. Integrity;
3. Team spirit;
4. Learning and innovation;
5. Corporate Social Responsibility;
6. Gender Equality; and
7. Respect for All.

2. Financial results

The deficit for the period amounted to **ZMW 2,951,397** (2019: deficit of ZMW 2,418,328).

3. ZESCO contribution

ZESCO Ltd contributions accounts for at least 50% of the Training Centre's annual funding. During the year under review ZESCO Ltd contribution toward the facility use, staff emoluments and fuel amounted to **ZMW 24,944,670** (2019: ZMW 24,016,193). The total contributions accounted for 36% of the total annual income for the year. There was no salary increment awarded to both represented and non-represented staff during the year.

4. Board of Trustees

The Board meets quarterly to deliberate matters pertaining to the strategic direction, business development and overall resource allocation. The Board currently comprises one executive and ten non-executive Trustees.

5. Trustees' interest

Upon appointment, every Director of the Trust is required to disclose their business interest to the Board and thereafter update the Board as changes occur. Trustees are also required to

disclose interest in any contracts with the Centre or any affiliates, which give rise to a conflict of interest.

6. Board expenses

Board of Trustees expenses amounted to **ZMW 1,600,623** (2019: ZMW 3,115,557).

7. Loans and advances to Trustees

There were no loans and advances made to any of the Trustees during the year under review (2019: Nil)

8. Loans and advances to directors and senior management

There were no loans and advances given to the senior management team during the year under review (2019: Nil). The Training Centre reintroduced the provision of general-purpose loans to employees at an interest rate of 6.5% per annum. Total funds of ZMW 51,500 were disbursed during the year benefiting four members of staff. In addition, with the expansion of the personal loan schemes at the various financial institutions, employees have been encouraged to obtain short, medium and long-term loans from the financial institutions of their choice.

9. Code of Corporate Governance

The Board of Trustees applies integrity, principles of corporate governance and accountability throughout their activities and decision-making.

The Board of Trustees confirms that the Training Centre has continued to comply with all the risk management and internal control requirements and practices as part of good corporate governance. The management team and Trustees continue to be committed to high standards of corporate governance fundamentals to properly discharge their responsibilities.

10. Employees

The average number of employees during the period under review was **66** (2019: 64). The total remuneration paid to the employees during the year was **ZMW 19,589,997** (2019: ZMW 19,230,249).

11. Senior management team remuneration

The senior management team remuneration amounted to **ZMW 4,069,979** (2019: ZMW 4,415,033) during the year under review. The reduction in remuneration could be attributed to savings arising from the freezing of the position of Head Marketing and Business Development Manager.

12. Capital expenditure

Capital expenditure for the year amounted to **ZMW 2,112,325** (2019: ZMW 1,648,495). In addition, a total of **ZMW 269,556** was transferred from capital work in progress resulting in total additions to the fixed asset register of **ZMW 2,370,609** comprising of the following:

Kafue Gorge Regional Training Centre
Report of the Trustees
For the year ended 31st December 2020

DESCRIPTION	AMOUNT ZMW
Land & Buildings	
Garbage room	56,925
Overhead water tanks-(3)	44,009
	<u>100,933</u>
Plant & Equipment	
Cold room	212,631
Mobile ICT communication	7,956
Tea urn 30ltrs	3,080
Tea urn 20ltrs	2,974
HP Desk Top	20,552
Juice dispenser (2)	6,810
Mobile ICT communication	2,888
Basic Energy meters (4)	23,953
Multi Media Studio Equipment	65,500
ProLiant Server	104,681
Canon Camera	56,552
HP Laptop-High Spec	22,328
HP Desktop Computer	12,871
Digital Retail Scale 30kg	3,966
Pressure Vessel 60ltrs	6,150
Mini Bar Fridges (2)	6,198
Backup UPS for desktop computers (3)	6,284
Drilling Machine	3,578
	<u>568,932</u>
Furniture	
PVC Ceiling Installation	7,993
	<u>7,993</u>
Motor Vehicles	
Ford Ranger	790,748
	<u>790,748</u>
Intangible assets	
ArcGIS Software	461,244
PSSE Software	440,759
	<u>902,003</u>
Total additions and transfers	<u>2,370,609</u>

13. Disposals

Total assets with net book value of ZMW 2,275 were disposed of during the year by way of donation to the office of the District Commissioner Chikankata. No proceeds were realized from the disposal of assets resulting in a net loss of ZMW 2,275.

14. Gifts and donations

Gifts and donations amounted to ZMW 6,500 (2019: ZMW 5,000) during the year under review. The donations were made as contributions to Chikankata District for hosting of women's and independence day celebrations.

15. Research and development

The Training Centre entered into research and development activities with the University of Zambia based on the ongoing wind measurements from 60m installed wind mast.

16. Safety, health and environment policy

The Centre strives to create wealth and to contribute to sustainable development by operating its business with due regard for economic, social, cultural and environmental issues. Safety and health issues are of special concern.

Furthermore, all operations subscribe to the Centre's safety, health and environmental policy document. The Centre operates a safety audit programme conducted by professional independent third parties.

17. Going Concern

The Trustees have assessed the Centre's ability to continue as a going concern and have concluded that the Centre shall continue to operate for the foreseeable future.

18. Events after the reporting period

The Trustees are not aware of any other matters or circumstance since the financial year end and the date of this report, not otherwise dealt with in the financial statements, which significantly affects the financial position of the Centre and the results of its operations.

19. Auditors

The auditors, Mark Daniels, have indicated their willingness to continue in office. A resolution for their re-appointment will be submitted to the 93rd meeting of the Board of Trustees.

By order of the Board


Maureen M. Salimu
Board Secretary
Lusaka, Zambia

26.02.2021

Kafue Gorge Regional Training Centre
Statement of Responsibility for Annual Financial Statements
For the year ended 31 December 2020

The Trustees are responsible for the preparation and fair presentation of the financial statements of Kafue Gorge Regional Training Centre, comprising the statement of financial position as at 31st December 2020, and statements of profit or loss and other comprehensive income, changes in Trust funds and cash flows for the year ended, and the notes to the financial statements, which include a summary of significant accounting policies and other explanatory notes, in accordance with the International Financial Reporting Standards and the Societies Act CAP 119 and the Trust Deed Act of 1996.

The Trustees' responsibilities include: designing, implementing and monitoring internal controls relevant to the preparation and fair presentation of these financial statements that are free from material misstatement, whether due to fraud or error, selecting and applying appropriate accounting policies; and making accounting estimates that are reasonable in the circumstances.

The Trustees' responsibility also includes maintaining adequate accounting records and an effective system of risk management

The Trustees have made an assessment of the Trust's ability to continue as a going concern and have no reason to believe the business will not be a going concern in the year ahead.

Approval of the financial statements

The financial statements of the Trust as indicated below, were approved by the Trustees on 26.03.2021 and are signed on its behalf by:



Trustee
13/14/ 2021



Trustee

Report of the Independent Auditors

To the Members of the Kafue Gorge Regional Training Centre

Report on the Audit of the Financial Statements

Opinion

We have audited the accompanying financial statements of Kafue Gorge Regional Training Centre (KGRTC), which comprise the statement of financial position as at 31st December 2020, and the statement of comprehensive income, statement of changes in equity and statement of cash flows for the year then ended, and a summary of significant accounting policies and other explanatory notes.

In our opinion the financial statements give a true and fair view of the financial position of the Kafue Gorge Regional Training Centre as at 31st December 2020 and of its financial performance and cash flows for the year ended and have been properly prepared in accordance with the International Financial Reporting Standards

Basis for Opinion

We conducted our audit in accordance with International Standards on Auditing (ISAs). Our responsibilities under those standards are further described in the Auditor's Responsibilities for the Audit of the Financial Statements section of our report. We are independent of the trust in accordance with the International Ethics Standards Board for Accountants' Code of Ethics for Professional Accountants (IESBA Code) and other independence requirements applicable to performing audit of Kafue Gorge Regional Training Centre. We have fulfilled our other ethical responsibilities in accordance with the IESBA Code, and in accordance with other ethical requirements applicable to performing the audit of Kafue Gorge Regional Training Centre. We believe that the audit evidence we have obtained is sufficient and appropriate to provide a basis for our opinion.

Other information

The Trustees are responsible for the other information. The other information comprises of corporate information and the Trustees' Report as required by the Trust Deed Act of 1996. The other information does not include the financial statements and our auditor's report thereon. Our opinion on the financial statements does not cover the other information and we do not express an audit opinion or any form of assurance conclusion thereon.

In connection with our audit of the financial statements, our responsibility is to read the other information and, in doing so, consider whether the other information is materially inconsistent with the financial statements or our knowledge obtained in the audit, or otherwise appears to be materially misstated. If, based on the work we have performed, we conclude that there is a material misstatement of this other information; we are required to report that fact. We have nothing to report on this regard.

**INDEPENDENT AUDITOR'S REPORT
TO THE MEMBERS OF KAFUE GORGE REGIONAL TRAINING CENTRE (CONTINUED)**

Responsibilities of Management and Those Charged with Governance for the Financial Statements

The Trustees are responsible for the preparation and fair presentation of these financial statements in accordance with International Financial Reporting Standards, and for such internal control as management determines is necessary to enable the preparation of financial statements that are free from material misstatement, whether due to fraud or error. In preparing the financial statements, management is responsible for assessing the Trust's ability to continue as a going concern, disclosing, as applicable, matters related to the going concern and using the going concern basis of accounting unless management either intends to liquidate the Trustees or to cease operations, or have no realistic alternative but to do so. Those charged with Governance are responsible for overseeing the Trust's reporting process.

Auditor's Responsibility for the Audit of the Financial Statements

Our Objectives are to obtain reasonable assurance about whether the financial statements as a whole are free from material misstatement, whether due to fraud or error, and to issue an auditor's report that includes our opinion. Reasonable assurance is a high level of assurance, but is not a guarantee that an audit conducted in accordance with ISAs will always detect a material misstatement when it exists. Misstatements can arise from fraud or error and are considered material if, individually or in the aggregate, they could reasonably be expected to influence the economic decisions of users taken on the basis of these financial statements.

As part of an audit in accordance with ISAs, we exercise professional judgement and maintain professional scepticism throughout the audit. We also:

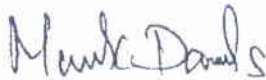
- Identify and assess the risks of material misstatement of the financial statements, whether due to fraud or error, design and perform audit procedures responsive to those risks, and obtain audit evidence that is sufficient and appropriate to provide a basis for our opinion. The risk of not detecting a material misstatement resulting from fraud is higher than for one resulting from error, as fraud may involve collusion, forgery, intentional omissions, misrepresentations, or the override of internal controls.
- Obtain an understanding of internal controls relevant to the audit in order to design audit procedures that are appropriate in the circumstances, but not for the purpose of expressing an opinion on the effectiveness of the Trust's internal controls.
- Conclude on the appropriateness of management's use of the going concern basis of accounting and based on the audit evidence obtained, whether a material uncertainty exists related to events or conditions that may cast significant doubt on the Trust's ability to continue as a going concern. If we conclude that a material uncertainty exists, we are required to draw attention in our auditor's report to the related disclosures in the financial statements or, if such disclosures are inadequate, to modify our opinion. Our conclusions are based on the audit evidence obtained up to the date of our auditor's report. However, future events or conditions may cause the Trust to cease to continue as a going concern.
- Evaluate the overall presentation, structure and content of the financial statements, including the disclosures, and whether the financial statements represent the underlying transactions and events in a manner that achieves fair presentation.
- Obtain sufficient appropriate audit evidence regarding the financial information of the entities or business activities within the Trust to express an opinion on the financial statements. We are responsible for the direction, supervision and performance of the Trusts' audit. We remain solely responsible for our audit opinion.

**INDEPENDENT AUDITOR'S REPORT
TO THE MEMBERS OF KAFUE GORGE REGIONAL TRAINING CENTRE (CONTINUED)**

We communicate with those charged with governance regarding, among other matters, the planned scope and timing of the audit and significant audit findings, including any significant deficiencies in internal controls that we identify during our audit.

Report on other Legal and Regulatory Requirements

In our opinion, the financial statements of **Kafue Gorge Regional Training Centre** as of 31st December 2020 have been properly prepared in accordance with the Societies Act CAP 119 and the Trust Deed Act of 1996, and the accounting and other records and registers have been properly kept in accordance with the Act.



**Chartered Accountants
Lusaka**

26 02. 2021



**Frederick M. Banda AUD/A000169
Partner signing on behalf of the firm**

Kafue Gorge Regional Training Centre
Financial statements
For the year ended 31st December 2020

Statement of comprehensive income

	Notes	2020 ZMW	2019 ZMW
Income			
Internally generated income	8(a)	13,313,999	18,875,565
Income from projects	8(a)	27,001,989	11,943,119
ZESCO contribution	8(a)	24,944,670	24,016,193
Other income	10(a)	1,518,782	1,413,414
		<u>66,779,440</u>	<u>56,248,291</u>
Expenditure			
Personnel expenses		27,720,471	28,226,777
Direct operating expenses		4,811,189	6,285,478
Marketing expenses		297,009	709,965
Administration expenses		36,948,746	22,065,466
Maintenance, transport, utilities & rental expenses		2,060,923	2,225,106
		<u>71,838,338</u>	<u>59,492,792</u>
Operating deficit		(5,058,898)	(3,244,501)
Other gains and losses-net	10(b)	2,095,437	803,792
Finance (costs)/income-net	10(d)	12,064	22,381
Deficit before taxation		(2,951,397)	(2,418,328)
Income tax expense	11(a)	-	-
Deficit for the year		<u>(2,951,397)</u>	<u>(2,418,328)</u>

The notes on pages 14 to 39 form an integral part of these financial statements

Kafue Gorge Regional Training Centre
Financial statements
For the year ended 31st December 2020

Statement of financial position

	Notes	2020 ZMW	2019 ZMW
ASSETS			
Non-current assets			
Property, plant and equipment	13(a)	21,141,368	24,584,185
Intangible assets	13(b)	1,375,180	2,790,830
		<u>23,516,548</u>	<u>27,355,016</u>
Current assets			
Inventories	13(c)	225,672	240,290
Trade and other receivables	12(a)	4,947,058	6,801,160
Other financial assets at amortised cost	12(b)	1,475,473	262,023
Cash and cash equivalents	12(c)	8,135,609	4,401,319
		<u>14,783,812</u>	<u>11,704,792</u>
Total assets		<u>38,300,360</u>	<u>39,059,808</u>
Non-current liabilities			
Employee benefit obligations	13(e)	16,305,834	14,981,254
		<u>16,305,834</u>	<u>14,981,254</u>
Current liabilities			
Trade and other payables	12(d)	1,602,366	2,072,398
Employee benefit obligations	13(e)	1,846,804	816,160
		<u>3,449,170</u>	<u>2,888,558</u>
FUNDS AND LIABILITIES			
Capital reserve	14(a)	10,748,748	10,748,748
Capital grants	14(b)	3,250,000	4,249,999
Revaluation reserves	14(c)	14,970,947	15,307,281
Accumulated funds	14(d)	(10,422,338)	(9,114,032)
		<u>18,545,355</u>	<u>21,189,996</u>
Total funds and liabilities		<u>38,300,359</u>	<u>39,059,808</u>

The notes on pages 14 to 39 form an integral part of these financial statements

The financial statements on pages 10 to 39 were approved by the Board of Directors on
26 02. 2021 and signed on its behalf by:



Engineer F Mubiana
Board Chairperson



Engineer K.K Siame
Director

Kafue Gorge Regional Training Centre
Financial statements
For the year ended 31st December 2020

Statement of changes in funds

	Capital reserve ZMW	Capital grants ZMW	Revaluation reserves ZMW	Accumulated funds ZMW	Total ZMW
At 1 January 2019	10,746,746	5,158,330	15,643,615	(7,032,039)	24,516,654
Capital grants amortised		(908,330)			(908,330)
Deficit for the year				(2,418,328)	(2,418,328)
Other comprehensive income					
Transfers from revaluation reserves			(336,334)	336,334	
Total comprehensive income			(336,334)	(2,081,994)	
At 31 December 2019	10,746,746	4,250,000	15,307,281	(9,114,033)	21,189,996
At 1 January 2020	10,746,746	4,250,000	15,307,281	(9,114,033)	21,189,996
Prior year adjustment				1,306,758	1,306,758
Restated balance	10,746,746	4,250,000	15,307,281	(7,807,275)	22,496,754
Capital grants amortised		(1,000,000)			(1,000,000)
Loss for the year				(2,951,397)	(2,951,397)
Other comprehensive income					
Transfers from revaluation reserves			(336,334)	336,334	
Total comprehensive income			(336,334)	(2,615,063)	
At 31 December 2020	10,746,746	3,250,000	14,970,947	(10,422,338)	18,545,357

The notes on pages 14 to 39 form an integral part of these financial statements

Kafue Gorge Regional Training Centre
Financial statements
For the year ended 31st December 2020

Consolidated statement of cash flow

	Notes	2020 ZMW	2019 ZMW
Cash flow from operating activities			
Deficit before taxation		(2,951,397)	(2,418,328)
Adjustments for:			
-Prior year adjustment		1,309,758	-
-Prior year adjustment on depreciation		153	-
-Amortisation of capital grants		(1,000,000)	(908,330)
-Depreciation		5,948,364	5,297,099
-Loss on disposal of property, plant and equipment		2,275	37,072
Changes in operating assets and liabilities			
-Decrease/(increase) in inventories		14,618	(37,691)
-Decrease/(increase) in trade receivables		1,854,102	(1,168,745)
-(Increase) in other financial assets at amortised cost		(1,213,450)	-
-Increase in employee benefit obligations		2,355,224	2,514,305
-Decrease in payables		(470,032)	(1,417,668)
Cash generated from operations		<u>5,846,615</u>	<u>1,897,714</u>
Interest received		(240,837)	(175,650)
Income tax paid		-	-
Net cash inflow from operations		<u>5,605,778</u>	<u>7,810</u>
Cash flows from Investing activities			
Purchase of property, plant and equipment		(2,112,325)	(1,648,496)
Proceeds from sale of property, plant and equipment		-	2,435
Interest received		240,837	175,650
Net cash outflow from Investing activities		<u>(1,871,488)</u>	<u>-</u>
Increase in cash and cash equivalents		<u>3,734,290</u>	<u>251,653</u>
Opening cash and cash equivalents		<u>4,401,319</u>	<u>4,149,666</u>
Closing cash and cash equivalents		<u>8,135,609</u>	<u>4,401,319</u>
Represented by:			
Cash in hand and at bank		4,093,140	3,400,296
Short-term deposits		4,042,469	1,001,023
		<u>8,135,609</u>	<u>4,401,319</u>

The notes on pages 14 to 39 form an integral part of these financial statements

Kafue Gorge Regional Training Centre
Financial statements
For the year ended 31st December 2020

Notes

1. Basis of preparing financial statements

Kafue Gorge Regional Training Centre (KGRTC) is a regional Training Centre for employees of electricity generation, transmission and distribution utilities in the Southern African Development Community (SADC). Apart from funding from Zambia Electricity Supply Corporation (ZESCO), it derives its core income from tuition, letting of accommodation, catering and hire of conference facilities.

The Training Centre was established in 1989 and is a registered Trust under Section 7 (2) of the Societies Act CAP 119 of the laws of Zambia. The Training Centre is also registered and recognized by the Technical Education Vocational & Entrepreneurship Training Authority (TEVETA). The Training Centre is an ISO 9001 certified organisation offering international quality services.

The financial statements of Kafue Gorge Regional Training Centre have been prepared on the going concern basis and in accordance with the International Financial Reporting Standards (IFRS) and comply with the requirements of the Societies Act CAP 119. They have been prepared under the historical cost convention adjusted by the revaluation of tangible fixed assets. The financial statements are presented in Kwacha (ZMW) except where otherwise indicated.

2. Application of new and revised International Financial Reporting Standards (IFRSs)

(a) New standards and amendments - applicable 1 January 2020

The following standards and interpretations apply for the first time to financial reporting periods commencing on or after 1 January 2020

Title	Key requirements	Effective date*
<i>Definition of Material – Amendments to IAS 1 and IAS 8</i>	The IASB has made amendments to IAS 1 Presentation of Financial Statements and IAS 8 Accounting Policies. Changes in Accounting Estimates and Errors which use a consistent definition of materiality throughout International Financial Reporting Standards and the Conceptual Framework for Financial Reporting, clarify when information is material and incorporate some of the guidance in IAS 1 about immaterial information. In particular, the amendments clarify: that the reference to obscuring information addresses situations in which the effect is similar to omitting or misstating that information, and then an entity assesses materiality in the context of the financial statements as a whole, and the meaning of 'primary users of general-purpose financial statements to whom those financial statements are directed, by defining them as 'existing and potential investors, lenders and other creditors that must rely on general purpose financial statements for much of the financial information they need.	1 January 2020
<i>Definition of a Business – Amendments to IFRS 3</i>	The amended definition of a business requires an acquisition to include an input and a substantive process that together significantly contribute to the ability to create outputs. The definition of the term 'outputs' is amended to focus on goods and services provided to customers, generating investment income and other income, and it excludes returns in the form of lower costs and other economic benefits. The amendments will likely result in more acquisitions being accounted for as asset acquisitions.	1 January 2020

Notes (continued)

2. Application of new and revised International Financial Reporting Standards (IFRSs)

(a) New standards and amendments - applicable 1 January 2020

The following standards and interpretations apply for the first time to financial reporting periods commencing on or after 1 January 2020

Title	Key requirements	Effective date*
<i>Interest Rate Benchmark Reform – Amendments to IFRS 7, IFRS 9 and IAS 39</i>	<i>The amendments made to IFRS 7 Financial Instruments: Disclosures, IFRS 9 Financial Instruments and IAS 39 Financial Instruments: Recognition and Measurement interest rate benchmark reforms.</i> The reliefs relate to hedge accounting and have the effect that the reforms should not generally cause hedge accounting to terminate. However, any hedge ineffectiveness should continue to be recorded in the income statement. Given the pervasive nature of hedges involving IBOR-based contracts, the reliefs will affect companies in all industries.	1 January 2020
<i>Revised Conceptual Framework for Financial Reporting</i>	The IASB has issued a revised Conceptual Framework which will be used in standard-setting decisions with immediate effect. Key changes include: • increasing the prominence of stewardship in the objective of financial reporting • reinstating prudence as a component of neutrality • defining a reporting entity, which may be a legal entity, or a portion of an entity • revising the definitions of an asset and a liability • removing the probability threshold for recognition and adding guidance on derecognition • adding guidance on different measurement basis, and • stating that profit or loss is the primary performance indicator and that, in principle, income and expenses in other comprehensive income should be recycled where this enhances the relevance or faithful representation of the financial statements. No changes will be made to any of the current accounting standards. However, entities that rely on the Framework in determining their accounting policies for transactions, events or conditions that are not otherwise dealt with under the accounting standards will need to apply the revised Framework from 1 January 2020. These entities will need to consider whether their accounting policies are still appropriate under the revised Framework.	1 January 2020

Notes (continued)

2. Application of new and revised International Financial Reporting Standards (IFRSs)

(b) Forthcoming requirements

As at 31 May 2020, the following standards and interpretations had been issued but were not mandatory for annual reporting periods ending on 31 December 2020.

Title	Key requirements	Effective date*
IFRS 17 Insurance Contracts	IFRS 17 was issued in May 2017 as replacement for IFRS 4 Insurance Contracts. It requires a current measurement model where estimates are re-measured in each reporting period. Contracts are measured using the building blocks of: - discounted probability-weighted cash flows - an explicit risk adjustment, and - a contractual service margin (CSM) representing the unearned profit of the contract which is recognised as revenue over the coverage period. The standard allows a choice between recognising changes in discount rates either in the statement of profit or loss or directly in other comprehensive income. The choice is likely to reflect how insurers account for their financial assets under IFRS 9. An optional, simplified premium allocation approach is permitted for the liability for the remaining coverage for short duration contracts, which are often written by non-life insurers. There is a modification of the general measurement model called the 'variable fee approach' for certain contracts written by life insurers where policyholders share in the returns from underlying items. When applying the variable fee approach, the entity's share of the fair value changes of the underlying items is included in the CSM. The results of insurers using this model are therefore likely to be less volatile than under the general model. The new rules will affect the financial statements and key performance indicators of all entities that issue insurance contracts or investment contracts with discretionary participation features.	1 January 2021, but extended to 1 January 2023 by the IASB in March 2020

Notes (continued)

2. Application of new and revised International Financial Reporting Standards (IFRSs)

(b) Forthcoming requirements (continued)

As at 31 May 2020, the following standards and interpretations had been issued but were not mandatory for annual reporting periods ending on 31 December 2020.

Title	Key requirements	Effective date*
<i>Covid-19-related Rent Concessions- Amendments to IFRS 16</i>	As a result of the COVID-19 pandemic, rent concessions have been granted to lessees. Such concessions might take a variety of forms, including payment holidays and deferral of lease payments. In May 2020, the IASB made an amendment to IFRS 16 Leases which provides lessees with an option to treat qualifying rent concessions in the same way as they would if they were not lease modifications. In many cases, this will result in accounting for the concessions as variable lease payments in the period in which they are granted. Entities applying the practical expedients must disclose this fact, whether the expedient has been applied to all qualifying rent concessions or, if not, information about the nature of the contracts to which it has been applied, as well as the amount recognised in profit or loss arising from the rent concessions.	1 June 2020
<i>Classification of Liabilities as Current or Non-Current- Amendments to IAS 1</i>	The narrow-scope amendments to IAS 1 Presentation of Financial Statements clarify that liabilities are classified as either current or non-current, depending on the rights that exist at the end of the reporting period. Classification is unaffected by the expectations of the entity or events after the reporting date (e.g. the receipt of a waiver or a breach of covenant). The amendments also clarify what IAS 1 means when it refers to the 'settlement' of a liability. The amendments could affect the classification of liabilities, particularly for entities that previously considered management's intentions to determine classification and for some liabilities that can be converted into equity. They must be applied retrospectively in accordance with the normal requirements in IAS 8 Accounting Policies, Changes in Accounting Estimates and Errors. In May 2020, the IASB issued an Exposure Draft proposing to defer the effective date of the amendments to 1 January 2023.	1 January 2022 (possibly deferred to 1 January 2023)
<i>Property, plant and Equipment: Proceeds before intended use - Amendments to IAS 16</i>	The amendment to IAS 16 Property, Plant and Equipment (PP&E) prohibits an entity from deducting from the cost of an item of PP&E any proceeds received from selling items produced while the entity is preparing the asset for its intended use. It also clarifies that an entity is 'testing whether the asset is functioning properly' when it assesses the technical and physical performance of the asset. The financial performance of the asset is not relevant to this assessment. Entities must disclose separately the amounts of proceeds and costs relating to items produced that are not an output of the entity's ordinary activities.	1 January 2022

Notes (continued)

2. Application of new and revised International Financial Reporting Standards (IFRSs)

(b) Forthcoming requirements

As at 31 May 2020, the following standards and interpretations had been issued but were not mandatory for annual reporting periods ending on 31 December 2020.

Title	Key requirements	Effective date*
<i>Reference to the Conceptual Framework – Amendments to IFRS 3</i>	Minor amendments were made to IFRS 3 Business Combinations to update the references to the Conceptual Framework for Financial Reporting and add an exception for the recognition of liabilities and contingent liabilities within the scope of IAS 37 Provisions, Contingent Liabilities and Contingent Assets and Interpretation 21 Levies. The amendments also confirm that contingent assets should not be amendments also confirm that contingent assets should not be recognised at the acquisition date	1 January 2022
<i>Onerous Contracts – Cost of Fulfilling a Contract Amendments to IAS 37</i>	The amendment to IAS 37 clarifies that the direct costs of fulfilling a contract include both the incremental costs of fulfilling the contract and an allocation of other costs directly related to fulfilling contracts. Before recognising a separate provision for an onerous contract, the entity recognises any impairment loss that has occurred on assets used in fulfilling the contract.	1 January 2022
<i>Annual Improvements to IFRS Standards 2018-2020</i>	The following improvements were finalised in May 2020: • IFRS 9 Financial Instruments – clarifies which fees should be included in the 10% test for derecognition of financial liabilities. • IFRS 16 Leases – amendment of illustrative example 13 to remove the illustration of payments from the lessor relating to leasehold improvements, to remove any confusion about the treatment of lease incentives. • IFRS 1 First-time Adoption of International Reporting Standards – allows entities that have measured their assets and liabilities at carrying amounts recorded in their parent's books to also measure any cumulative translation differences using the amounts reported by the parent. This amendment will also apply to associates and joint ventures that have taken the same IFRS 1 exemption. • IAS 41 Agriculture – removal of the requirement for entities to exclude cash flows for taxation when measuring fair value under IAS 41. This amendment is intended to align with the requirement in the standard to discount cash flows on a post-tax basis.	1 January 2022

Notes (continued)

2. Application of new and revised International Financial Reporting Standards (IFRSs)

(b) Forthcoming requirements

As at 31 May 2020, the following standards and interpretations had been issued but were not mandatory for annual reporting periods ending on 31 December 2020.

Title	Key requirements	Effective date*
Sale or contribution of assets between an investor and its associate or joint venture – Amendments to IFRS 10 and IAS 28	The IASB has made limited scope amendments to IFRS 10 <i>Consolidated financial statements</i> and IAS 28 <i>Investments in associates and joint ventures</i>. The amendments clarify the accounting treatment for sales or contribution of assets between an investor and its associates or joint ventures. They confirm that the accounting treatment depends on whether the non-monetary assets sold or contributed to an associate or joint venture constitute a 'business' (as defined in IFRS 3 <i>Business Combinations</i>). Where the non-monetary assets constitute a business, the investor will recognise the full gain or loss on the sale or contribution of assets. If the assets do not meet the definition of a business, the gain or loss is recognised by the investor only to the extent of the other investor's interests in the associate or joint venture. The amendments apply** In December 2015 the IASB decided to defer the application date of prospectively. ** In December 2015 the IASB decided to defer the application date of this amendment until such time as the IASB has finalised its research project on the equity method.	n/a**

Notes (continued)

3. Principal accounting policies

The principal accounting policies applied by the Centre in the preparation of these financial statements are set out below. These policies have been consistently applied to all the years presented, unless otherwise stated.

(a) Revenue

Revenue represents receipts from grants, interest earnings and miscellaneous income is accounted for on an accrual basis.

(b) Property, plant and equipment

Property, plant and equipment are stated at historical cost less depreciation. Historical cost includes expenditure that is directly attributable to the acquisition of the items.

Subsequent costs are included in the asset's carrying amount or recognised as a separate asset, as appropriate, only when it is probable that future economic benefits associated with the item will flow to the Centre and the cost of the item can be measured reliably. All other repairs and maintenance are charged to the income statement during the financial period in which they are incurred.

Increases in the carrying amount arising on revaluation of property, plant and equipment are credited to the revaluation surplus in shareholders' equity. Decreases that offset previous increases of the same asset are charged against fair value reserves directly in equity; all other decreases are charged to the income statement. Each year, the difference between depreciation based on the revalued carrying amount of the asset charged to the income statement and depreciation based on the asset's original cost, net of any related deferred income tax, is transferred from the revaluation surplus to retained earnings.

Depreciation is calculated to write off the cost of property, plant and equipment on a straight line basis over the expected useful lives of the assets concerned. The principal annual rates used for this purpose are:

Description	Useful life	Depreciation rate
Land and Buildings	50 years	2.5%
Plant and equipment	5 years	20%
Motor vehicles	4 years	25%
Furniture and fittings	5 years	20%
ICT & Software	3 years	33%

Capital work in progress is not depreciated.

The assets' residual values and useful lives are reviewed at each balance sheet date and adjusted if appropriate.

An asset's carrying amount is written down immediately to its recoverable amount if the asset's carrying amount is greater than its recoverable amount.

Gains and losses on disposals are determined by comparing the proceeds with the carrying amount. These are included in the income statement in the other operating income. When revalued assets are sold, the amounts included in the revaluation surplus relating to these assets are transferred to retained earnings.

Notes (continued)

3. Principal accounting policies (continued)

(e) Financial assets

Classification

The Centre classifies its financial assets in the following measurement categories:

those to be measured subsequently at fair value (either through OCI or through profit or loss), and those to be measured at amortised cost.

The classification depends on the entity's business model for managing the financial assets and the contractual terms of the cash flows.

For assets measured at fair value, gains and losses will either be recorded in profit or loss or OCI. For investments in equity instruments that are not held for trading, this will depend on whether the Centre has made an irrevocable election at the time of initial recognition to account for the equity investment at fair value through other comprehensive income (FVOCI). The Centre reclassifies debt investments when and only when its business model for managing those assets changes.

Recognition and derecognition

Regular way purchases and sales of financial assets are recognised on trade date, being the date on which the Centre commits to purchase or sell the asset. Financial assets are derecognised when the rights to receive cash flows from the financial assets have expired or have been transferred and the Centre has transferred substantially all the risks and rewards of ownership.

Measurements

At initial recognition, the Centre measures a financial asset at its fair value plus, in the case of a financial asset not at fair value through profit or loss (FVPL), transaction costs that are directly attributable to the acquisition of the financial asset. Transaction costs of financial assets carried at FVPL are expensed in profit or loss.

Equity instruments

The Centre subsequently measures all equity investments at fair value. Where the Centre's management has elected to present fair value gains and losses on equity investments in OCI, there is no subsequent reclassification of fair value gains and losses to profit or loss following the derecognition of the investment. Dividends from such investments continue to be recognised in profit or loss as other income when the Centre's right to receive payments is established.

Changes in the fair value of financial assets at FVPL are recognised in other gains/(losses) in the statement of profit or loss as applicable. Impairment losses (and reversal of impairment losses) on equity investments measured at FVOCI are not reported separately from other changes in fair value.

Impairment

The Centre assesses on a forward-looking basis the expected credit losses associated with its debt instruments carried at amortised cost and FVOCI. The impairment methodology applied depends on whether there has been a significant increase in credit risk.

Notes (continued)

3 Principal accounting policies (continued)

(f) Impairment of assets

Goodwill and intangible assets that have an indefinite useful life are not subject to amortisation and are tested annually for impairment, or more frequently if events or changes in circumstances indicate that they might be impaired. Other assets are tested for impairment whenever events or changes in circumstances indicate that the carrying amount may not be recoverable. An impairment loss is recognised for the amount by which the asset's carrying amount exceeds its recoverable amount. The recoverable amount is the higher of an asset's fair value less costs of disposal and value in use. For the purposes of assessing impairment, assets are Centred at the lowest levels for which there are separately identifiable cash inflows which are largely independent of the cash inflows from other assets or Centres of assets (cash-generating units). Non-financial assets other than goodwill that suffered an impairment are reviewed for possible reversal of the impairment at the end of each reporting period.

(g) Cash and cash equivalents

For the purpose of presentation in the statement of cash flows, cash and cash equivalents includes cash on hand, deposits held at call with financial institutions, other short-term, highly liquid investments with original maturities of three months or less that are readily convertible to known amounts of cash and which are subject to an insignificant risk of changes in value, and bank overdrafts. Bank overdrafts are shown within borrowings in current liabilities in the balance sheet

(h) Borrowings

Borrowings are initially recognised at fair value, net of transaction costs incurred. Borrowings are subsequently measured at amortised cost. Any difference between the proceeds (net of transaction costs) and the redemption amount is recognised in profit or loss over the period of the borrowings using the effective interest method. Fees paid on the establishment of loan facilities are recognised as transaction costs of the loan to the extent that it is probable that some or all of the facility will be drawn down. In this case, the fee is deferred until the draw-down occurs. To the extent there is no evidence that it is probable that some or all of the facility will be drawn down, the fee is capitalised as a prepayment for liquidity services and amortised over the period of the facility to which it relates.

Borrowings are removed from the balance sheet when the obligation specified in the contract is discharged, cancelled or expired. The difference between the carrying amount of a financial liability that has been extinguished or transferred to another party and the consideration paid, including any non-cash assets transferred or liabilities assumed, is recognised in profit or loss as other income or finance costs.

Where the terms of a financial liability are renegotiated and the entity issues equity instruments to a creditor to extinguish all or part of the liability (debt for equity swap), a gain or loss is recognised in profit or loss, which is measured as the difference between the carrying amount of the financial liability and the fair value of the equity instruments issued.

Borrowings are classified as current liabilities unless the Centre has an unconditional right to defer settlement of the liability for at least 12 months after the reporting period.

Notes (continued)

3. Principal accounting policies (continued)

(i) Trade receivables

Trade receivables are recognised initially at the amount of consideration that is unconditional, unless they contain significant financing components when they are recognised at fair value. They are subsequently measured at amortised cost using the effective interest method, less loss allowance. See note 12(a) for further information about the Centre's accounting for trade receivables and note 6(ii) for a description of the Centre's impairment policies

(j) Trade and other payables

These amounts represent liabilities for goods and services provided to the Centre prior to the end of the financial year which are unpaid. The amounts are unsecured and are usually paid within 30 days of recognition. Trade and other payables are presented as current liabilities unless payment is not due within 12 months after the reporting period. They are recognised initially at their fair value and subsequently measured at amortised cost using the effective interest method.

(k) Taxation

Income tax expense represents the sum of the tax currently payable and deferred tax. Tax currently payable is based on the results for the year as adjusted for items which are non-assessable or disallowed for tax purposes.

Deferred taxation liabilities are recognised for all taxable temporary differences. Temporary differences can arise from the recognition for tax purposes of items of income or expense in a different accounting period from that in which they are recognised for financial accounting purposes. The tax effect of these temporary timing differences is computed by applying enacted statutory tax rates to any differences between carrying values per the financial statements and their tax base, and accounted for as deferred tax.

Deferred taxation assets are recognised for all deductible temporary differences to the extent that it is probable that taxable profit will be available against which the deductible temporary differences can be utilised.

(l) Foreign currencies

(i) Functional and presentation currency

Items included in the financial statements of the Centre are measured using the currency of the primary economic environment in which the entity operates ('the functional currency'). The consolidated financial statements are presented in Zambian currency units, which is Kafue Gorge Regional Training Centre functional and presentation currency.

(ii) Transactions and balances

Foreign currency transactions are translated into the functional currency using the rates of exchange prevailing at the date of transactions. Foreign exchange gains and losses resulting from the settlement of such transactions and from the translation at year end exchange rates of monetary assets and liabilities denominated in foreign currencies are recognised in the income statement.

Translation differences on non-monetary items, such as equity at fair value through profit or loss are reported as part of the fair value gain or loss. Translation differences on non-monetary items, such as equities classified as available for sale financial assets, are included in fair value reserve in equity.

Notes (continued)

3. Principal accounting policies (continued)

(m) Employee benefits

(i) Pension obligations

All employees on permanent contracts are entitled to receive lump sum pension benefits when they reach the normal retirement age of 60 years using a defined benefit pension plan. A defined benefit pension plan is a type of pension plan in which an employer promises a specified pension payment, lump-sum (or combination thereof) on retirement that is predetermined by a formula based on the employee's final salary earnings, tenure of service and age returns. The retirement benefit plan is payable after more than one year of continuous service. The Centre provides benefits for employees on or after termination of employment at retirement age with the exception of an employee retired on medical grounds. Pension calculations are based on two months' pay for the first 10 years of service, three months' pay up to 20 years and four months' pay for 30 years plus of service based on the last drawn salary.

Furthermore, the Centre makes mandatory contributions to the National Pension Scheme Authority (NAPSA). These contributions constitute net periodic costs and are charged to the profit and loss account as part of staff costs in the year to which they relate. The Centre has no further obligation once the contributions have been paid.

(ii) Gratuity obligations

All employees saving fixed term contracts who include management and academic consultancy staff are paid contract end gratuity every after 3 years. The applicable gratuity rate is 35% on gross earnings which include basic pay, housing and service allowances.

(n) Provisions

Restructuring costs and legal claims

Provisions for restructuring costs and legal claims are recognised when: The Centre has a present legal or constructive obligation as a result of past events; it is more likely than not that an outflow of resources will be required to settle the obligation; and the amount has been reliably estimated. Restructuring provisions comprise lease termination penalties and employee termination payments. Provisions are not recognised for future operating losses.

Where there are a number of similar obligations, the likelihood that an outflow will be required in settlement is determined by considering the class of obligations as a whole. A provision is recognised even if the likelihood of an outflow with respect to any one item included in the same class of obligations may be small.

(o) Inventories

Inventory is stated at the lower of cost or net realisable value. Cost is determined on a first in first out basis and includes all expenditure incurred in the normal course of business in bringing the goods to their present location and condition, including production overheads based on normal level of activity. Net realisable value takes into account all further costs directly related to marketing, selling and distribution. Provision is made for obsolete and slow moving inventories.

Notes (continued)

4 Critical accounting estimates and judgments

The Centre makes estimates and assumptions that affect the reported amounts of assets and liabilities within the next financial year. Estimates and judgments are continually evaluated and based on historical experience and other factors, including expectations of future events that are believed to be reasonable under the circumstances

5. Financial Risk management

Exposure to currency, interest rate and credit risk, arises in the normal course of the Centre's business.

Currency risk

The Centre incurs currency risk as a result of bank balances denominated in foreign currencies. The Centre has operational bank accounts in US Dollars. No hedge is taken out for this risk.

Interest rate risk

The Centre is exposed to interest rate risk to the extent of the balance of the bank accounts.

Credit risk

No collateral is required in respect of financial assets. The Centre has a credit policy in place and the exposure to credit risk is monitored on an on-going basis.

Credit evaluations are performed on all customers requiring credit over a certain amount.

At the statement of financial position date, there were no significant concentrations of credit risks (2019: nil).

The maximum exposure to credit risk is represented by the carrying amount of each financial asset in the statement of financial position.

Liquidity risk

Liquidity risk arises in the general funding of the Centre's activities

Liquidity management is directed towards ensuring that all the Centre's operations can meet their funding needs, whether this is to replace existing funding as it matures, or is withdrawn.

6. Financial Instruments

Exposure to currency, interest rate, credit and liquidity risk arises in the normal course of the Centre business.

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Notes (continued)

(i) Credit risk

Credit risk is the risk of financial loss to the Centre if a customer or counterparty to a financial instrument fails to meet its contractual obligations and arises principally from the Centre's receivables and cash balances. The carrying amount of financial assets represents the maximum credit exposure. The maximum exposure to credit risk at the reporting date was:

	Note	2020 ZMW	2019 ZMW
Trade receivables		4,947,058	6,801,160
Other financial assets at amortised cost		1,475,471	262,023
Cash and cash equivalents		8,135,609	4,401,319
		<u>14,358,138</u>	<u>11,464,502</u>

The bank accounts are held with reputable banks.

(ii) Impairment losses

The aging of trade receivables at the reporting date was:

31 December 2020	Current	1-30 Days	31-60 Days	61-90 Days	Over 90 Days	Total
Expected loss rate						
Gross carrying amount – trade receivables	1,987,896	96,955	1,616,756	275,555	3,202,502	7,180,664
Loss allowance						<u>2,233,607</u>
						<u>4,947,057</u>
31 December 2019	Current	1-30 Days	31-60 Days	61-90 Days	Over 90 Days	Total
Expected loss rate						
Gross carrying amount – trade receivables	823,320	1,106,033	1,845,265	801,693	3,737,148	8,313,459
Loss allowance						<u>1,818,302</u>
						<u>6,495,157</u>

The loss allowances for trade receivables and other debtors as at 31 December reconcile to the opening loss allowances as follows.

	2020 ZMW	2019 ZMW
Opening loss allowance at 1 January	1,818,302	1,496,544
Increase in loss allowance recognised in profit or loss during the year	415,305	321,758
Closing loss allowance at 31 December	<u>2,233,607</u>	<u>1,818,302</u>

Trade receivables and other debtors are written off where there is no reasonable expectation of recovery. Indicators that there is no reasonable expectation of recovery include, amongst others, the failure of a debtor to engage in a repayment plan with the Centre, and a failure to make contractual payments for a period of greater than 90 days past due.

Impairment losses on trade receivables and other debtors are presented as net impairment losses within operating profit. Subsequent recoveries of amounts previously written off are credited against the same line item.

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Notes (continued)

6. Financial instruments (continued)

(iii) Liquidity risk

The following are the contractual maturities of financial liabilities.

31st December 2020

	Carrying amount	Contractual cash flows	Within 1 year	1-2 years	2-5 years	Longer than 5 years
	ZMW	ZMW	ZMW	ZMW	ZMW	ZMW
Financial liabilities						
Trade payables	1,602,366	1,602,366	1,602,366			
Total	1,602,366	1,602,366	1,602,366			

(iv) Currency risk

Foreign currency risk is the risk that the fair value or future cash flows of an exposure will fluctuate because of changes in foreign exchange rates. The Centre's exposure to the risk of changes in foreign exchange rates relates primarily to the Centre's operating activities (when revenue or expense is denominated in a foreign currency).

The summary quantitative data about the Centre's exposure to currency risk as reported to the management is as follows:

	Kwacha Equivalent of FC balances	10% FC	Net amount FC
2020			
Cash and cash equivalents	2,793,633	(279,363)	2,514,270
Trade and other receivables	3,867,052	(386,705)	3,480,347
Trade and other payables	(185,886)	18,589	(167,298)
Net exposure	6,474,799	(647,480)	5,827,319

The following significant exchange rates have been applied during the year:

	Reporting Date Spot rate	
Kwacha	2020	2019
US\$ 1	20.95	14.37
Euro	25.75	15.97
Rand	1.45	0.99

Notes (continued)

6. Financial instruments (continued)

Sensitivity Analysis

A 10 percent strengthening of the Kwacha against the foreign exchange exposure at 31st December 2020 would have increased the profit and increased the retained income. This would have been by the amounts shown below. Thus, this analysis assumes that all other variables, in particular interest rates, remain constant and ignores any impact of forecast sales and purchases

Centre income and surplus/(deficit)

ZMW

31st December 2020

(647,480)

A 10 percent weakening of the Kwacha against the foreign exchange exposure at 31st December 2020 would have the equal but opposite effect on the above currencies to the amounts shown above, on the basis that all other variables remain constant.

7. Revenue from contracts with customers

Revenue represents receipts from training fees, ZESCO contribution, rentals, interest earnings and miscellaneous income

8. (a) Disaggregation of revenue from contracts with customers

	2020	2019
	ZMW	ZMW
(i) Income		
Internally generated income	13,313,999	18,875,565
Income from projects	27,001,989	11,943,119
ZESCO contribution	24,944,670	24,016,193
Non-operating income	<u>1,518,782</u>	<u>1,413,414</u>
	<u>66,779,440</u>	<u>56,248,291</u>

9 (a) Accounting policies and significant judgements

Revenue from providing services is recognised in the accounting period in which the services are rendered.

10. (a) Other Income

Hire/Rental Income	411,041	251,281
Amortisation of capital grants	1,000,000	908,330
Loss on disposal of assets	(2,275)	(37,072)
Utilities contribution	<u>110,016</u>	<u>290,875</u>
Total	<u>1,518,782</u>	<u>1,413,414</u>

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Notes (continued)

	2020 ZMW	2019 ZMW
10. (b) Other gains and losses		
Net exchange gains/(losses)	2,095,437	803,792
	<u>2,095,437</u>	<u>803,792</u>
10. (c) Breakdown of expenses by nature		
Personnel expenses	27,720,471	28,226,777
Direct operating expenses	4,811,189	6,265,478
Marketing expenses	297,009	709,965
Administration expenses	36,948,746	22,065,468
Maintenance and transport expenses	2,060,823	2,225,106
	<u>71,838,338</u>	<u>59,492,792</u>
10. (d) Financial costs and incomes		
Financial income		
Interest income from financial assets held for cash management purposes	240,837	175,650
Financial costs		
Interest and finance charges paid/payable	(228,773)	(153,269)
Net finance (costs)/income	<u>12,064</u>	<u>22,381</u>
11. Income tax expense		
(a) The charge for taxation is made up as follows:		
Income tax at 35% on		
Interest income		
(b) Deferred taxation		
Deferred tax assets have not been recognised in respect of these tax losses as they may not be used to offset future taxable profits.		
Deferred tax not recognized comprises of:		
At start of year	(10,698,865)	(10,687,879)
Movement in the year	(77,752)	(10,987)
Current year balance	<u>(10,776,618)</u>	<u>(10,698,865)</u>
Deferred tax assets have not been recognised in respect of these tax losses as they may not be used to offset future taxable profits		

Notes (continued)

11. Income tax expense (continued)

Taxation losses carried forward

2018	2,641,766	4,724,668
2017	5,240,230	5,240,230
2016	5,607,058	5,607,058
2015	<u>2,274,950</u>	<u>2,274,950</u>

Total taxation losses carried forward	<u>15,764,004</u>	<u>17,846,906</u>
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A self-assessment system of income tax was introduced for years subsequent to 31st March 2004. Income tax returns will be filed with Zambia Revenue Authority (ZRA) for the year 31st December 2018. Tax losses are available for carry forward for a maximum of 5 years. The above tax losses are subject to agreement with ZRA. No deferred tax asset has been recognized in the financial statements until it is certain that sufficient taxable income will be generated to utilize the tax losses

12. Financial assets and financial liabilities

This note provides information about the Centre's financial instruments, including: an overview of all financial instruments held by the Centre specific information about each type of financial instrument accounting policies information about determining the fair value of the instruments, including judgements and estimation uncertainty involved

	2020	2019
Financial assets	ZMW	ZMW
Financial assets at amortised cost		
Trade receivables	4,947,057	6,801,160
Other financial assets at amortised cost	1,475,473	262,023
Cash and cash equivalents	<u>8,135,609</u>	<u>4,401,319</u>
	<u>14,558,139</u>	<u>11,464,502</u>
Financial liabilities		
Liabilities at amortised cost		
Trade and other payables	<u>1,602,366</u>	<u>2,072,398</u>
	<u>1,602,366</u>	<u>2,072,398</u>

Notes (continued)

	2020	2019
	ZMW	ZMW
12. (a) Trade and other receivables		
Trade receivables from contracts with customers	7,180,664	8,619,462
Less:		
Provision for impairment losses	(2,233,607)	(1,818,302)
	<u>4,947,057</u>	<u>6,801,160</u>

Classifications as trade receivables

Trade receivables are amounts due from customers for services performed in the ordinary course of business. They are generally due for settlement within 30 days and are therefore all classified as current. Trade receivables are recognised initially at the amount of consideration that is unconditional, unless they contain significant financing components, when they are recognised at fair value. The Centre holds the trade receivables with the objective of collecting the contractual cash flows and therefore measures them subsequently at amortised cost using the effective interest method. Details about the Centre's impairment policies and the calculation of the loss allowance are provided in note 6(ii).

Fair values of trade receivables

Due to the short-term nature of the current receivables, their carrying amount is considered to be the same as their fair value.

Impairment and risk exposure

Information about the impairment of trade receivables and the Centre's exposure to credit risk and foreign currency risk can be found in note 6(i), (ii) and (iii).

	2020	2019
	ZMW	ZMW
12. (b) Other financial assets at amortised cost		
Financial assets at amortised cost include the following debt investments		
Other receivables	1,475,473	262,023
Less:		
Provision for impairment losses	-	-
	<u>1,475,473</u>	<u>262,023</u>

Classification of financial assets at amortised cost

The Centre classifies its financial assets as at amortised cost only if both of the following criteria are met:

- the asset is held within a business model whose objective is to collect the contractual cash flows, and
- the contractual terms give rise to cash flows that are solely payments of principal and interest.

Notes (continued)

Other receivables

These amounts generally arise from transactions outside the usual operating activities of the Centre.

12. (c) Cash and cash equivalents

Cash in hand and at bank	4,093,140	3,400,296
Short term deposits with commercial banks	4,042,469	1,001,023
	<u>8,135,609</u>	<u>4,401,319</u>

Reconciliation to cash flow statement

The above figures reconcile to the amount of cash shown in the statement of cash flows at the end of the financial year as follows:

Balances as above	8,135,609	4,401,319
Bank overdrafts	-	-
Balances per statement of cash flows	<u>8,135,609</u>	<u>4,401,319</u>

Classification as cash equivalents

Term deposits are presented as cash equivalents if they have a maturity of three months or less from the date of acquisition and are repayable with 24 hours' notice with no loss of interest. See note 5(g) for the Centre's other accounting policies on cash and cash equivalent

2020	2019
ZMW	ZMW

12. (d) Trade and other payables

Current liabilities

Trade payables	390,648	750,610
Payroll tax and other statutory liabilities	1,211,718	1,217,862
Other payables	-	103,926
	<u>1,602,366</u>	<u>2,072,398</u>

Trade payables are unsecured and are usually paid within 30 days of recognition

The carrying amounts of trade and other payables are considered to be the same as their fair values, due to their short-term nature

13. Non-financial assets and financial liabilities

This note provides information about the Centre's non-financial assets and liabilities, including: specific information about each type of non-financial asset and non-financial liability

- property, plant and equipment
- Intangible assets
- inventories
- employee benefit obligations

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Notes (continued)

13. (a) Property, plant and equipment
(a) Summary

Cost/valuation	Land & Buildings ZMW	Plant & Equipment ZMW	Motor Vehicles ZMW	Fixtures & Fittings ZMW	CWIP ZMW	Total ZMW
At 1 January 2019	17,720,034	7,314,632	3,447,713	1,284,045	4,417,235	34,183,659
Additions	82,789	1,153,433	-	155,990	258,285	1,648,496
Disposals	-	(89,335)	-	(1,600)	-	(90,935)
Transfers	38,861	4,378,375	-	-	(4,417,235)	-
At 31 December 2019	17,841,682	12,755,104	3,447,713	1,438,435	258,285	35,741,219
At 1 January 2020	17,841,682	12,755,104	3,447,713	1,438,435	258,285	35,741,219
Additions	44,009	356,301	790,748	7,993	11,271	1,210,322
Disposals	-	(5,424)	-	(4,800)	-	(10,224)
Transfers	56,925	212,631	-	-	(269,556)	-
At 31 December 2020	17,942,615	13,318,612	4,238,461	1,441,627	-	36,941,317
Cost/valuation						
Cost	2,042,615	9,606,961	2,401,956	1,026,510	-	15,078,044
Valuation	15,900,000	3,711,651	1,836,505	415,117	-	21,863,273
Total	17,942,615	13,318,612	4,238,461	1,441,627	-	36,941,317
Depreciation						
At 1 January 2019	1,281,093	3,512,652	1,987,554	601,500	-	7,382,799
Charge for the year	445,470	2,271,207	860,653	288,338	-	3,845,668
Written back on disposal	-	(50,179)	-	(1,254)	-	(51,433)
At 31 December 2019	1,726,563	5,733,680	2,848,207	868,583	-	11,177,034
At 1 January 2020	1,726,563	5,733,680	2,848,207	868,583	-	11,177,034
Charge for the year	447,609	2,600,039	296,409	286,652	-	3,630,893
Adjustments	-	70	-	86	-	156
Written back on disposal	-	(3,387)	-	(4,563)	-	(7,950)
At 31 December 2020	2,174,172	8,330,403	3,144,616	1,150,758	-	14,799,949
Net book value						
At 31 December 2020	15,768,443	4,988,210	1,093,845	290,869	-	22,141,368
31 December 2019	16,115,119	7,021,424	599,506	569,852	258,285	24,564,186

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Notes (continued)

13. (a) Property, plant and equipment (continued)

(i) Summary

Sherwood Greene Registered Valuers professionally revalued property, plant and equipment on the 21st December 2015 on a comparable properties basis and depreciated replacement cost approach.

13. (b) Intangible asset	2020 ZMW	2019 ZMW
Cost/valuation		
At 1 January	7,523,344	7,523,344
Additions	902,003	-
At 31 December	8,425,347	7,523,344
Depreciation		
At 1 January	4,732,514	3,281,080
Charge for the year	2,317,654	1,451,434
At 31 December	7,050,167	4,732,514
Net book value	1,375,180	2,790,830
	2020 ZMW	2019 ZMW
13. (c) Inventories		
Current assets		
Stationery	138,940	140,748
Foodstuffs and beverages	49,773	48,395
Housekeeping consumables	19,543	21,953
Sundry stocks	17,416	29,194
	225,672	240,290

Assigning costs to inventories

The costs of individual items of inventory are determined using weighted average costs

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Notes (continued)

	2020 ZMW	2019 ZMW
13. (e) Employee benefit obligations		
Non-current liability		
Deferred liabilities		
Opening balance at 1 January	13,073,028	10,558,719
Charge to profit or loss	<u>1,870,124</u>	<u>2,514,309</u>
Closing balance at 31 December	14,943,152	13,073,028
 Provision for gratuity	 <u>1,382,682</u>	 <u>1,908,226</u>
	<u>16,305,834</u>	<u>14,981,254</u>

The level of benefits provided depends on members' length of service and their salary in the final years leading up to retirement. The plan is unfunded. For unionized employees, retirement benefits are payable as follows: Two months' pay every year for the first ten years of service, three months' pay per year up to 20 years of service and four months per year pay for 30 plus years of service. For supervisory staff the benefits are payable as follows: three months' pay per year for the first 20 years of service and four months' pay per year for 30 plus years of service.

The key assumptions used for computation of the retirement benefit plan include salary inflation and retirement age as follows:

- Salary used for the computation is based on the current prevailing salary payable to employees
- Salary inflation has been assumed to increase in line with national inflation despite historical salary increments being below inflation.
- Retirement age has been assumed to be 60 and that there will be no early retirement with the exception of retirement under medical discharge as recommended by an approved medical practitioner.

	2020 ZMW	2019 ZMW
Current liability		
Provision for gratuity	999,038	-
Leave obligations	712,183	689,879
NAPSA	<u>135,583</u>	<u>126,281</u>
	<u>1,846,804</u>	<u>816,160</u>

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Notes (continued)

14(a) Capital reserves

	2020 ZMW	2019 ZMW
At beginning of the year	10,746,746	10,746,746
At end of the year	10,746,746	10,746,746

The capital reserve account represents the value of the assets transferred by ZESCO to the Centre at commencement of the Centre's operations. The capital reserves are non-distributable unless the Centre is turned into a Limited company and the reserves converted to shares, or the Centre is dissolved and assets returned to ZESCO or the Centre is declared bankrupt. The amount in the account will therefore remain constant at ZMW 10, 746,748 until any of the three above occurs.

14(b) Capital grants

At beginning of the year	4,250,000	5,158,330
Capital grants amortised	(1,000,000)	(908,330)
At end of the year	3,250,000	4,250,000

The capital grant represents funding from the Ministry of Higher Education under the Skills Development Fund (SDF). The Skills Development Fund main focus area includes investment in training hand tools and equipment in the TEVET sector. Therefore, the grant received was fully utilized for the procurement of various training equipment at KGRTC which included the following:

- Laboratory equipment
- Interpretation equipment
- Laundry equipment
- Catering equipment
- Classroom and conference room furniture

14(c) Revaluation reserves

At beginning of the year	15,307,281	15,643,615
Realisation of revaluation reserves	(336,334)	(336,334)
At end of the year	14,970,947	15,307,281

The revaluation reserve account records the difference between the new value of the revalued assets and their net book values, which is represented by cost less accumulated depreciation.

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Notes (continued)

14(d) Accumulated funds

	2020 ZMW	2019 ZMW
At beginning of the year	(9,114,033)	(7,032,039)
Prior year adjustment	1,306,758	-
Deficit for the year	(2,951,397)	(2,418,328)
Realisation of revaluation reserves	<u>336,334</u>	<u>336,334</u>
At end of the year	<u>(10,422,338)</u>	<u>(9,114,033)</u>

The accumulated funds account represents the accumulation of annual surpluses/deficits. Accumulated funds have continued to decline from a deficit of ZMW 9,114,033 (FY2019) to a negative balance of ZMW 10,422,338 owing to the reported deficit of ZMW 2,951,397 and a prior year adjustment of ZMW 1,306,758 recorded during the year ended 31st December 2020.

15. Related parties

15(a) Ultimate controlling party

The Training Centre is partially a self-financing institution supervised by an independent Board of Trustees. However, due to the significant contribution towards the operations of the Training Centre, ZESCO Ltd takes keen interest in the entity's operations to ensure that it operates within its mandate and is in conformity with corporate governance objectives

	2020 ZMW	2019 ZMW
ZESCO Ltd		
ZESCO contribution	<u>24,944,670</u>	<u>24,016,193</u>

ZESCO pays all the employee emoluments (including PAYE, leave commutation, gratuity and pensions). The contribution was slightly higher than 2019 which can be attributed to a full staff establishment

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Notes (continued)

	2020 ZMW	2019 ZMW
15(b) Training, seminars & conferences & consultancy income		
Training, seminars and conferences	4,733,553	2,068,385
SHEQ project consultancy income	<u>25,769,261</u>	<u>9,878,973</u>
ZESCO Ltd	<u>30,502,814</u>	<u>11,947,358</u>
15(c) Purchases		
ZESCO internet services	<u>21,315</u>	<u>21,315</u>
15(d) Trade receivables		
ZESCO Ltd	<u>1,599,324</u>	<u>2,068,386</u>
15(e) Board expenses		
Sitting allowances, accommodation and travel expenses	<u>1,600,623</u>	<u>3,115,557</u>
15(f) Key Management Remuneration		
Salaries and allowances	<u>4,069,979</u>	<u>4,415,033</u>
16. Capital commitments		
Capital expenditure contracted for during the reporting period but not yet incurred is as follows:		
Property, plant and equipment	<u>-</u>	<u>-</u>
17. Contingent liabilities		
There were no contingent liabilities as at the period-end (2019: Nil)		
18. Events subsequent to balance sheet date		
There has not arisen since the end of the financial year any item, transactions or event of a material and unusual nature likely, in the opinion of the directors of the Centre, affect substantially the operations of the economic entity, the results of those operations or the state of affairs of the economic entity in subsequent financial years.		
19. Comparative figures		
Comparative figures are restated where necessary to afford a reasonable comparison.		

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Appendix I

Detailed Statement of Comprehensive Income

	2020 ZMW	2019 ZMW
Internally generated income		
Training	9,322,142	14,917,868
Seminars and conferences	70,372	117,880
Accommodation	441,369	1,700,925
Catering	557,717	1,417,637
Laundry	399,029	427,021
Library, gymnasium and internet services	25,804	115,732
Business centre	1,187	265
Other income	1,142,112	178,437
Total internally generated income	11,959,712	18,875,565
Income from projects		
SkIDRES Project	1,354,287	2,064,146
Project consultancy fees	27,001,989	9,878,973
Total income from projects	28,356,276	11,943,119
Externally generated income		
ZESCO Ltd contribution	24,944,670	24,016,193
Non-operating income		
Hire/rentals	411,041	251,281
Amortisation of capital grants	1,000,000	908,330
(Loss)/profit on disposal of redundant fixed assets	(2,275)	(37,072)
Exchange gains (KGRTC)	2,095,437	803,792
Interest income	240,837	175,650
Utilities contribution	110,016	290,875
Total non-operating income	3,855,056	2,392,856
Grand total income	69,115,714	57,227,733

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Appendix I

Detailed Statement of Comprehensive Income (Continued)

Expenses	2020 ZMW	2019 ZMW
Personnel expenses		
Salaries and wages	19,589,997	19,230,249
Gratuity	2,312,529	2,314,609
Leave pay	502,224	483,751
Retirement benefits	1,870,128	2,514,305
Long service bonus	81,000	-
Employer's NAPSA contribution	782,879	744,109
Staff membership subscriptions	56,564	25,218
Workers Compensation Fund	26,633	26,435
Group life assurance	146,817	148,009
Skills development levy	106,820	101,186
Protective clothing	283,079	194,156
Staff travel and expenses	703,750	725,047
Staff training	273,347	513,950
Staff welfare	974,704	1,205,753
Total personnel costs	27,720,471	28,226,777
Direct operating expenses		
Guest Lecturers' Expenses	1,029,534	2,131,870
Graduation & Study tours	215,657	768,389
Library expenses	19,260	57,147
Teaching materials	11,259	-
New Curriculum Development	-	13,600
Housekeeping consumables	484,931	340,921
Catering consumables	806,627	1,195,070
Conference's consumables	4,979	260
Laundry consumables	90,782	45,390
Off-site training of course participants	383,300	1,189,748
KGRTC/APUA TOT workshop	-	332,844
SkiDRES Project	1,754,860	190,439
Total direct operating expenses	4,811,189	6,265,478
Marketing expenses		
Marketing trips	-	87,632
Publications	9,600	-
Shows and exhibitions	60,864	368,738
Advertisements	4,176	52,461
Documentaries and promotions	154,579	181,284
Corporate social responsibility	67,990	9,850
Total marketing expenses	297,009	709,965

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Appendix I

Detailed Statement of Comprehensive Income (Continued)

	2020 ZMW	2019 ZMW
Administration expenses		
Board expenses	1,600,623	3,115,557
Stakeholders' forum	71,438	163,271
Financial audit fees	151,847	103,607
IMS audit fees	319,101	84,808
Professional fees	-	-
General insurance	89,410	85,627
Licenses, fees & registration expenses	471,014	202,077
Procurement Committee allowances	148,975	123,300
Security services	41,992	47,328
Consultancy expenses	25,728,944	9,768,813
Sida Consultancy fees & expenses	43,471	-
Non-Capitalised Assets Expensed	62,570	11,181
Office requisites	54,326	101,588
Courier, telephone & internet	474,297	1,393,928
Printing and stationery	322,049	264,473
Water and electricity	120,700	121,300
Rentals	360,000	240,000
Provision for stock obsolescence	-	4,235
Provision for impairment of debtors	415,305	503,942
KGRTC Sida projects contribution costs	-	-
Depreciation	5,948,364	5,297,098
Non-Qualifying VAT/WHT expensed	524,320	433,335
Total administration expenses	36,948,746	22,065,466
Maintenance and transport expenses		
Buildings repairs & maintenance	197,115	180,603
Furniture & equipment repairs & maintenance	100,824	136,084
Motor vehicles repairs & maintenance	219,160	332,528
Ground's maintenance	14,899	22,494
Fuels & lubricants	1,357,146	1,383,042
Motor vehicle Insurance	117,154	118,952
Road licenses, fitness & others	19,285	8,733
Road toll fees	35,340	42,670
Total maintenance and transport expenses	2,060,923	2,225,106

Kafue Gorge Regional Training Centre
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Appendix II

Five year financial record

STATEMENT OF COMPREHENSIVE INCOME

Income and expenses	2020 ZMW	2019 ZMW	2018 ZMW	2017 ZMW	2016 ZMW
Total income	69,115,714	57,227,733	40,927,843	58,576,980	54,879,653
Total expenses	(72,067,111)	(59,648,081)	(49,008,429)	(57,645,140)	(57,273,076)
Surplus/(deficit) before taxation	(2,951,397)	(2,418,328)	(8,080,586)	931,840	(2,393,423)
Taxation	-	-	-	-	-
Surplus/(deficit) for the year	(2,951,397)	(2,418,328)	(8,080,586)	931,840	(2,393,423)

STATEMENT OF FINANCIAL POSITION

Non-current assets					
Property, plant and equipment	23,518,547	27,355,016	31,043,122	29,787,249	32,328,852
Current assets					
Inventories	225,672	240,290	202,599	186,013	200,880
Trade and other receivables	6,422,531	7,876,027	5,894,438	13,855,730	6,836,318
Income taxation	-	-	-	215,463	185,189
Bank and cash	8,135,609	4,401,319	4,149,868	3,975,716	7,348,203
Total current assets	14,783,812	12,517,635	10,246,703	18,232,922	14,570,580
Total assets	38,300,359	39,872,652	41,289,825	48,020,171	46,899,442
Funds and liabilities					
Funds and reserves	18,545,356	21,189,996	24,516,654	27,597,241	32,814,651
Non-current liabilities					
Deferred liabilities	14,943,152	13,073,028	10,558,719	10,438,631	8,093,948
Current liabilities					
Trade and other payables	4,811,852	5,609,628	6,214,452	9,984,299	5,990,843
Total current liabilities	4,811,852	5,609,628	6,214,452	9,984,299	5,990,843
Total funds & liabilities	38,300,359	39,872,652	41,289,825	48,020,171	46,899,442

